OECD
ECONOMIC SURVEYS

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

CANADA

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

JULY 1977

BASIC STATISTICS OF CANADA

THE LAND

Area (thousand sq. km)	9 976
Agricultural area (% of the total area) 1975	6.4

Population of major cities including their metropolitan areas (1971 census):	
Montreal	2 743 208
Toronto	2 628 043

THE PEOPLE

Population (1.1.1977)	23 306 000
Number of inhabitants per sq. km	2
Population, annual net natural increase (average 1972-76)	187 600
Natural increase rate per 1 000 inhabitants (average 1972-76)	8.4

Civilian labour force (Dec. 1976)	10 230 000
Employment in agriculture (Dec. 1976)	458 000
Immigration (annual average, 1972-76)	172 200
Average annual increase in civilian labour force (1972-76, %)	3.6

PRODUCTION

GNP in 1976 (millions of Canadian dollars)	184 494
GNP per head (Canadian dollars)	8 029
Gross fixed investment (private and public) per head (Canadian dollars)	1 853
Gross fixed investment (private and public) as % of GNP	23.4

Origin of Gross Domestic Product (1975, % of total):	
Agriculture, forestry and fishing	4.4
Manufacturing	3.8
Mining and quarrying	19.5
Construction	6.6
Public administration	7.0
Other	58.7

THE GOVERNMENT

Government current expenditure on goods and services (average 1972-76, % of GNP)	19.8
Government gross fixed capital formation (average 1972-76, % of GNP)	3.7
Federal Government current revenue (average 1972-76, % of GNP)	19.0
Federal direct and guaranteed debt % of current expenditure (average 1972-76, %)	123.4

Composition of Parliament (Number of seats):

	House of Commons	Senate
Liberals	139	74
Conservatives	96	17
Social Credit	11	1
New Democratic	16	—
Independents	1	2
Vacant	1	8

Last election: 8.7.1974

FOREIGN TRADE

Exports:	
Exports of goods and services as % of GNP (average 1972-76)	25.0
Main exports, 1976 (% of commodity exports):	
Wheat	4.5
Newsprint	5.2
Lumber	4.3
Woodpulp	5.7
Non-ferrous metals and alloys	5.6
Motor vehicles and parts	21.9
Other manufactured goods	15.4
Main customers, 1976 (% of commodity exports:)	
United States	67.8
United Kingdom	4.9
European Economic Community	7.0

Imports:	
Imports of goods and services as % GNP (average 1972-76)	26.8
Main imports, 1976 (% of commodity imports):	
Industrial materials	18.7
Motor vehicles and parts	25.7
Producers' equipment	20.6
Consumer goods	18.8
Main suppliers, 1976 (% of commodity imports):	
United States	68.6
United Kingdom	3.1
European Economic Community	5.4

THE CURRENCY

Monetary unit: Canadian dollar

Currency unit per US $, average of daily figures:	
Year 1976	0.9859
May 1977	1.0483

NOTE An international comparison of certain basic statistics is given in an annex table.

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CANADA

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

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— to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.

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The annual review of Canada by the OECD Economic and Development Review Committee took place on 30th June, 1977.

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INTRODUCTION

Canada witnessed some readjustment in its relative economic position vis-à-vis the rest of the OECD area last year. In 1974-1975, at the cost of a deterioration in the relative inflationary performance and the external balance, Canada had resisted the international recession much better than most other industrialised countries. In 1976, following a change in policy, inflationary developments, and to some extent the external position, were brought under better control. The progress made on the inflation front was partly due to favourable developments in food prices and to an appreciation of the exchange rate but reflected also a sharp deceleration in wage settlements and some reduction in actual profit margins. Following a deceleration in domestic as well as external demand, the growth of output remained modest during the year, and the recorded unemployment rate rose further to reach by early 1977 a post-war high. The same process of readjustment is expected to characterise general economic developments this year. Present Secretariat forecasts suggest that output growth will be moderate though with some acceleration through the period, and that unemployment will remain high. The underlying rate of inflation should continue to decelerate even if this trend may be masked in the earlier part of the year by rising food and other import prices.

Following the shift in emphasis during 1975, economic policy continued in 1976 to give priority to the reduction in inflation not only as an immediate objective but also as an essential condition for sustained improvement in output and employment. No further stimulus to demand was added by the federal budget, and the same seems broadly true for the fiscal operations of the public sector as a whole. Monetary policy remained relatively tight until end-year when money supply growth had fallen below the lower end of the announced target range. Demand management policies were complemented by the operations of the Anti-Inflation Board which seem to have met with a reasonable degree of success. The 1977 policy stance continues along similar lines. Fiscal policy as indicated in the recent federal budget will not add much stimulus to demand while monetary policy is not expected to deviate from its present aim of gradually reducing the growth of money supply in line with the deceleration in inflation.

The present report consists of three main parts which look in turn at recent developments, economic policies (including some assessment of the operations of the price and incomes policies) and short-term prospects. The various arguments are then summarised in the concluding paragraphs.

I RECENT DEVELOPMENTS

Demand developments

After a modest 1 per cent rise in 1975, real GNP is estimated to have increased by 5 per cent last year. The recovery which had begun in mid-1975 lost momentum in the second half of last year. While between mid-1975 and

mid-1976 output grew by some 6 per cent, in the latter part of 1976 it remained flat. Although labour disputes in the third and fourth quarters, as well as more subdued export growth consequent upon the concomitant United States' slowdown may have played some role in these unfavourable developments, there is little doubt that final domestic demand is weak, a weakness which seems to have continued so far this year. In the first quarter of 1977 GNP grew at 5¼ per cent annual rate, mainly because of an exceptionally large improvement in the real foreign balance. Nevertheless, by early 1977 the degree of slack in terms of capital resources, may have been equal to any experienced since the early 1960s, and the rate of unemployment had reached a record level.

Among the major final domestic demand components, by far the most buoyant was private consumption which, rather surprisingly, rose by 6 per cent in volume last year. Anticipatory buying of cars in 1975 consequent upon special factors[1] should have led to some deceleration; successive consumer surveys had indicated consistent pessimism on the part of households in 1976 and the growth of personal incomes could have been expected to decelerate in view of wage and price controls and the absence of the tax cuts which had boosted income in 1975. In the event, the growth of personal incomes, particularly non-wage incomes, slowed down but this was roughly offset by an unexpected deceleration in consumer prices so that real disposable income rose by 5½ per cent, roughly the same as in 1974 and 1975. Consumer pessimism may have waned in the face of such favourable income developments and this would seem to be confirmed by present estimates of the household saving ratio which showed some decline from the 1975 peak. In addition, a further factor which may have boosted real consumption was the sharp and unexpected deceleration in food prices (these rose by less than 3 per cent in 1976 after an average annual rise of close to 15 per cent over the previous three years). If household spending plans are made in nominal terms, then this slowdown in inflation would have led to an "unintended" increase in volume purchases. While such a hypothesis may, at first sight, seem unlikely, particularly in the case of food consumption, it nevertheless receives some support from an examination of past trends in the consumption of this item. Over the last ten years personal expenditure on food, as a percentage of total personal consumption, has been relatively stable in nominal terms, while in real terms the share has shown fairly abrupt downward or upward movements as prices accelerated or decelerated. On the other hand, consumption of services rose more moderately than total consumption, continuing a movement begun several years ago. From 1970-1971 service consumption has declined as a share of total consumers expenditure, be this at constant or *even* at current prices. Such developments go against both longer-run Canadian trends and evidence for other countries which tend to show income elasticities of demand for services (with respect to total personal consumption) above one[2].

Over the last five or six years, the expansion of private consumption has been extremely rapid both by past Canadian and by international standards. Over the twenty years to 1970 personal consumer expenditure rose by some 4¾ per cent per annum, and its elasticity with respect to GNP growth was of the order of 0.7. Between 1970 and 1976 it rose by 6½ per cent per annum

1 The temporary sales tax reduction on automobiles in Ontario during the last half of 1975 as well as rebates accorded by North American manufactures during that year no doubt resulted in anticipatory buying and contributed to the very sharp drop in sales in the first quarter of 1976. For the year as a whole car sales fell by 4½ per cent. Hence the underlying strength of consumer spending was probably even greater last year than the actual figures would suggest.

2 See e.g. T.T. Schweitzer, *Personal Consumer Expenditure in Canada, 1926-1975*, Economic Council of Canada, 1969; T. Gamaletsos, "Further Analysis of Cross-Country Comparisons of Consumer Expenditure Patterns", *European Economic Review*, April 1973.

Table 1 **Expenditure and output**
Percentage volume changes

	1975 bill. $	From previous year				From previous half-year (seasonally adjusted annual rate)			
						1975		1976	
		1973	1974	1975	1976	I	II	I	II
Private consumption	97.0	6.7	5.4	5.1	6.1	5.0	8.7	4.8	6.3
Government consumption	33.6	4.6	4.3	4.4	0.9	7.5	1.1	3.8	−4.9
Gross fixed investment	40.1	11.1	5.5	3.9	0.8	5.5	10.4	0.3	−7.1
Public	6.3	−0.6	5.5	4.4	−5.6	4.9	−5.9	−3.3	−9.8
Private residential	9.3	9.8	−0.4	−6.7	17.6	−12.6	38.9	16.9	2.0
Private non-residential	24.5	15.0	7.9	7.8	−3.2	12.2	6.5	−4.3	−9.9
Final domestic demand	170.7	7.3	5.3	4.7	4.0	5.6	7.6	3.6	1.2
plus changes in stockbuilding[1]	−0.3	0.8	0.9	−2.6	1.6	−3.9	−2.4	5.1	−1.6
Total domestic demand	170.4	8.1	6.1	2.1	5.5	1.6	5.2	8.6	−0.3
Exports of goods and services	40.3	10.6	−2.2	−6.4	8.9	−12.3	−0.6	15.0	6.9
Imports of goods and services	45.5	13.6	9.4	−2.4	8.2	−9.3	2.5	14.0	2.8
plus changes in foreign balance[1]	−5.2	−0.8	−3.0	−0.8	−0.3	−0.3	−0.8	−0.5	0.7
plus residual error of estimate[1]	0.2	0.2	0.5	−0.4	−0.6	−0.9	−0.4	−0.8	−0.4
GNP at market prices	165.4	7.5	3.7	1.1	4.9	0.5	4.3	7.7	0.0
Primary sector	13.4	8.7	−4.6	−3.9	4.0	..	..	..	3.3
Manufacturing	31.3	8.6	3.0	−4.9	4.7	−7.7	−0.4	10.1	−0.2
Construction and public utilities	14.9	6.5	5.1	0.3	4.4	−5.4	11.8	6.6	−3.9
Services	86.5	6.3	5.7	2.7	4.3	1.5	4.8	3.9	4.7
Real domestic product	146.1	7.0	4.2	0.3	4.6	−1.7	3.8	6.1	2.8

1 Percentage point contribution to GNP growth rate.
Source: Statistics Canada, *National Income and Expenditure Accounts.*

(or 1.3 times faster than total output). This growth rate is higher than that recorded over the period by any other developed OECD Member country, including Japan (both on a total and per capita basis)[3]. This development was not due to an increased propensity to consume. On the contrary, the household saving ratio nearly doubled between the (admittedly low) 1970 level and 1976. But buoyant real disposable income growth, partly achieved thanks to an extremely rapid expansion in employment (in marked contrast to developments in other major OECD countries), permitted a considerable rise in living standards.

Table 2 **Private consumption and related indicators in Canada and in major OECD countries**
1970 to 1976

	Average annual percentage changes			Absolute change[1]
	Real personal consumption	Real disposable income per person employed	Total employment	Household savings ratio
Canada	6.5	4.2	3.2	5.3
France	4.8	4.3	0.4	0.2
Germany	3.1	5.0	−1.0	0.7
Italy	2.6	4.1	0.4	7.1
Japan	6.1	6.9	0.5	4.4
United Kingdom	2.0	3.0	0.1	5.2
United States	3.4	1.6	1.8	−1.0

1 Between 1970 and 1976.

Sources: OECD, *National Accounts of OECD countries* and *Labour Force Statistics; Bank of Canada Review;* Secretariat estimates.

In contrast to the buoyant developments in private consumption, the growth rate of government consumption in real terms was cut back very sharply to only 1 per cent last year, with a seasonally adjusted annual rate decline of 5 per cent in the final half of the year. This reflected a further deceleration in the rate of growth of current price spending by all levels of government and virtually no slowdown in the deflator for public consumption. In part, the failure of the rate of increase in the government deflator to slow during 1976 was due to the bunching of a number of retroactive wage and salary payments to civil servants, mainly in Quebec. Although details of expenditure by level of government are not available, it would seem that the slowdown last year was much less marked at the federal than at other (particularly provincial) levels. While federal outlays seem to have fallen in real terms in 1975, they probably rose by about 4 per cent last year, whereas other levels of government as a whole have continued to scale down their outlays more smoothly. This would be the third year running that central government current expenditure has fluctuated

3 1970 and 1976 are not necessarily cyclically comparable years for all countries. Hence any inter-country comparisons should be treated with some caution. But Canada's figures are sufficiently above those of all other OECD Members (excluding Japan, Portugal and Turkey) for the basic argument not to be affected.

rather widely and not necessarily in a countercyclical way[4]. The cut-back in public sector investment was more severe; real capital formation fell by 5½ per cent, the sharpest fall recorded in the post-war period. Strikes in the building industry in the latter part of last year were partly responsible for this, but government investment had already declined by some 4½ per cent in the year to mid-1976 reflecting the tightening in fiscal stance.

Private investment demand rose by barely 2 per cent, but this overall figure masks very divergent developments between non-residential investment, which declined by 3 per cent, and housing construction which rose by nearly 18 per cent. Despite the existence of a comparatively large stock of unoccupied dwellings already at the turn of 1976 and relatively high interest rates, housing starts (at 273 thousand) established a new record. The buoyancy of this sector can in large measure be ascribed to federal and provincial policy initiatives, since activity has in particular centered around moderately-priced units to which government programmes are directed[5]. The existence of a large number of subsidy schemes has also meant that a good deal of construction activity has been unaffected by shifts in mortgage interest rates. In recent years the authorities have sought to promote housebuilding on broader social policy grounds. Thus, between the two peak years of 1969 and 1976, residential construction rose by nearly 50 per cent, close to the growth recorded over the preceding fifteen years (1955-1969), despite a deceleration in population growth. But these policies, while apparently successful in raising the level of activity, do not seem to have been able to dampen to any substantial extent the traditional volatility of residential construction. Both the 1973 boom and the 1974 recession have been virtually as pronounced as previous peaks or slumps and more recent fluctuations have also been fairly marked.

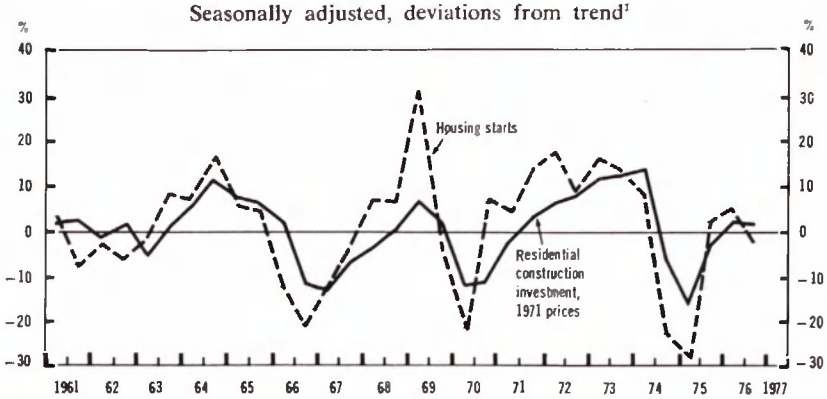
In the non-residential investment field, expenditure on energy-related projects, which for various reasons are relatively unaffected by shorter-term cyclical developments, continued to rise strongly in real terms—by some 7 per cent according to preliminary estimates—while outlays by other sectors fell by around 6½ per cent. This weakness (which contradicts the relative buoyancy shown by earlier investment surveys) is not really surprising in the light of previous years' investment and output trends[6]. In the three years to 1975 business gross fixed investment (excluding the energy and residential sectors) had risen by not far from 25 per cent in volume while output had grown by only 12½ per cent.

4 Applying the overall general government deflator to expenditure by each government level would suggest that federal outlays fell by about 1 per cent in 1975 after having risen by over 7 per cent in 1974. At the same time the growth rate of expenditure by other levels of government, which dropped by some 1 percentage point to around 5½ per cent in 1975, decelerated to 2½ per cent last year. Given that last year the impact of the large retroactive wage and salary payments was concentrated to the provincial administrations and that, therefore, their deflator was probably above that of general government, the difference in movements in real outlays between the federal and other authorities may well have been even more marked than the above figures would suggest. One factor contributing to the faster growth of federal outlays last year was the postponement of goods purchases from the final quarter of 1975 into the first quarter of 1976 (such transactions would, of course, remain within the same fiscal year).

5 Whereas overall starts increased on average by 18 per cent the number of multiple dwellings started increased by some 50 per cent. At the federal level in addition to the Capital Consumption Allowance incentives, the AHOP (Assisted Home Ownership Program) and ARP (Assisted Rental Program) schemes, which were expanded under the November 1975 "action program" (for details see last year's Survey, page 51), probably played a major role in these developments. But it appears that builders also took advantage of earlier incentives contained in the November 1974 and June 1975 budgets and which had not been fully used at the time.

6 Construction investment in addition was affected by industrial disputes in the second half of last year.

Diagram 1 **Fluctuations in residential construction**
Seasonally adjusted, deviations from trend[1]



1 Exponential trend, 1961-1976.
Sources: Canadian Statistical Review, Stastistics Canada, Secretariat estimates.

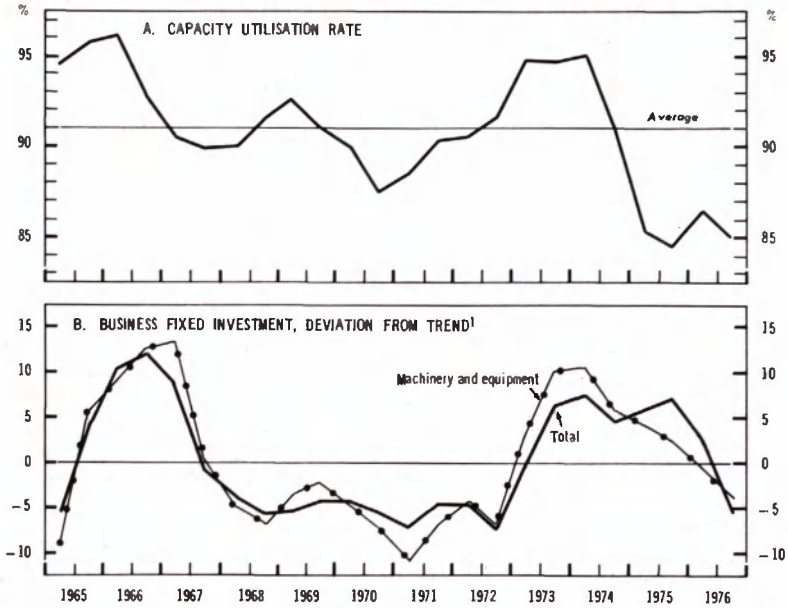
Even admitting that the rate of obsolescence may have risen in these years, additions to capacity must have been sizeable and this is indeed confirmed by various indicators for capacity utilisation in industry (or manufacturing). All these show not only sharp falls in utilisation rates from early 1974 peaks to late 1975 troughs, but also after a short pick-up, renewed declines in late 1976. By the fourth quarter of last year the figures were equal to the third quarter 1975 bottom levels, in turn the lowest levels since the 1961-1962 recession. A relatively weak profit situation may also have contributed to dampening investment activity.

Stockbuilding contributed 1½ percentage points to the growth of output last year, much less than in some other major OECD countries, but then of course the stock cycle experienced by Canada over the 1974-1975 years had been less severe than elsewhere. Substantial decumulation was in fact recorded only in the last two quarters of 1975; some of this was probably voluntary as stocks relative to sales had risen well above trend levels, but there may also have been an unintended element as stocks were drawn down to meet the exceptionally heavy demand for consumer durables at that time. There was also a sharp fall in farm stocks in the second half of 1975. Relative to shipments, manufacturing inventories had returned to their longer-term ratio by late-1976.

Output and employment

The output of both goods and services rose at roughly similar rates last year, in marked contrast to the 1975 pattern when material output, particularly in the manufacturing sector, fell sharply, while service activities only experienced a moderate deceleration in their growth rate. The output of goods recovered from a decline of 3.5 per cent in 1975 to an increase of 5.0 per cent in 1976. The rate of growth in output of services accelerated from 2.7 per cent 1975 to 4.4 per cent in 1976. In both sectors, there were increases in productivity at above trend rates which restricted the growth in employment but helped to lower the increase in unit labour costs. Even so, employment growth accelerated slightly from 1.9 per cent in 1975 to 2.2 per cent in 1976. In the case of the goods sector, the productivity gain was basically of a normal cyclical nature and followed a year when employment for the sector declined by 2.6 per cent.

Diagram 2 **Capacity utilisation in industry and business fixed investment**
Seasonally adjusted



1 Exponential trend 1965-1976 (4.6 per cent for total investment and 5.8 for machinery and equipment).

Sources: Canadian National Accounts Stastistics, Bank of Canada.

In the service sector, the productivity growth arose from a slowing in the rate of growth in employment despite an acceleration in the growth of output. Evidence from a variety of sources suggests that the largest gain in productivity occurred in the trade industry which appeared to go through a period of cost-cutting which led to virtually no net increase in employment for the industry in 1976. In addition, the deceleration in government spending began to slow the growth in public employment.

While employment growth accelerated slightly, the growth of the labour force, which had been of the order of 3 to 4 per cent for a number of years, came down to 2½ per cent. The participation rate failed to rise last year, as the usual upward movement in female participation rates was offset by a continuing decline in the participation rate of prime-age males and a sudden decline in that of youths. From the second quarter of 1976 participation rates followed a gently falling trend, which may indicate that there has now been some cyclical reaction from the labour supply side to relatively weak employment trends and record unemployment figures. Unemployment, following a very rapid rise which began toward the end of 1974 and lasted to the end of the first quarter of 1975 (that is, during the late phase of the recession), has fluctuated around a broadly unchanged level of some 7 per cent for about a year before experiencing a gradual rise to around a 7½ per cent level in the latter part of 1976—that is, to a level higher than at the trough of the recession.

Comparisons of the 1976 rate of unemployment with the preceding 1974 trough when the previous economic expansion came to an end, would suggest that the increase has affected almost equally the three main components of the

Table 3 **Selected labour market indicators**

	1976 Thousands	1974	1975	1976	1975 II	1976 I	1976 II
		Percentage changes					
		From previous year			From previous half-year (seasonally-adjusted annual rates)		
Labour force	10 308	4.1	3.7	2.5	3.6	2.5	1.6
Men (aged 25 and over)	4 918	2.5	2.2	1.4	2.4	0.9	1.8
Women (aged 25 and over)	2 605	4.9	6.9	5.4	7.3	4.7	5.5
Youths (aged 15-24)	2 785	6.3	3.5	1.6	2.4	3.3	−2.4
Employment	9 572	4.4	1.9	2.2	3.0	2.7	0.8
Men (aged 25 and over)	4 711	2.7	1.2	1.5	2.3	1.3	1.1
Women (aged 25 and over)	2 432	5.3	5.3	5.2	6.4	5.1	4.6
Youths (aged 15-24)	2 429	6.7	0.4	0.8	1.0	3.0	−3.4
		Percent of labour force					
Unemployed	736	5.3	6.9	7.1	7.1	7.0	7.3
Men (aged 25 and over)	208	3.3	4.3	4.2	4.3	4.1	4.4
Women (aged 25 and over)	173	5.1	6.5	6.7	6.7	6.4	6.9
Youths (aged 15-24)	355	9.4	12.1	12.8	12.4	12.5	13.0

Source: Statistics Canada, ***Historical Labour Force Statistics.***

labour force (adult men and women and youths), though prime-age males may have fared slightly better than the average. Regional differentials, however, as measured by the coefficient of variation of regional unemployment rates seem to have worsened. Much more striking are the changes which have taken place in Canada's unemployment situation between the 1961 and the present recession. In both these years the overall unemployment rate averaged 7.2 per cent[7]. But while youth unemployment already at the time was (at 10.8 per cent) more or less equally high and worrying as at present, the unemployment rate of prime-age males, at 7.2 per cent was well above what is being recorded at present. Conversely, adult women, who at the time represented a much smaller proportion of the labour force, recorded only a 2.5 per cent unemployment rate against 5.2 per cent in 1976[8]. As for regional inequalities, these seem to have decreased somewhat over the 15 years. These various trends reflect, of course, important changes in the situation of Canada's labour force as well as in policy and social legislation. They seem to call for a number of comments:

(*i*) The sharp reduction between 1961 and 1976 in unemployment of prime-age males would seem to be a welcome factor. Such people are presumably overwhelmingly heads of families and full-time workers and the declining incidence of joblessness in this area should have increased household welfare even despite the rising unemployment trends recorded by other groups;

7 There are some problems of comparability between the 1961 and the 1976 figures because of changes in the nature of the labour force surveys.

8 This figure has been adjusted to make it comparable to the old Labour Force Survey data. On the new basis, the figure is 6.6 per cent.

(*ii*) The large increase in unemployment among adult women may not carry with it the same social costs as if it had been concentrated among prime-age men. This unemployment may have been in part induced by Canada's very favourable unemployment benefits[9], and is incurred by persons who tend to enter or leave the market with greater ease than adult men and frequently occupy (when employed) only part-time jobs;

(*iii*) The progress (albeit small) made in reducing regional unemployment differentials, at least during cyclical troughs, provides some evidence that Canada's regional policies have played some role;

(*iv*) Conversely, however, the continuing very high level of youth unemployment, despite long-standing action to combat this problem and the large educational expansion which has taken place over these years is, of course, very serious. Improved unemployment benefits may provide a partial explanation but the picture in this area, though not restricted to Canada, remains particularly depressing and seems impervious to policy solution.

The unemployment situation has deteriorated sharply in recent months. From November 1976 to spring 1977, the seasonally adjusted unemployment rate rose by close to one full percentage point. The present rate, at around 8 per cent is one of the highest levels recorded since monthly data began to be collected in 1953. To some extent this sharp acceleration has been due to a phenomenon witnessed on earlier occasions in North America, namely the response of the labour force to employment growth. Already through 1976 quarterly upward or downward movements in the demand for labour had been accompanied by movements in the same direction in participation rates and labour force growth. In the first three months of 1977, employment rose by 1.3 per cent from the low end-1976 figure while labour supply grew by 2 per cent. But other factors may also have been at work since; over the recent period the unemployment rate of adult men has risen (to some 5 per cent) and proportionately more than that of other labour force groups. This suggests that in the face of continuing sluggish demand developments firms may have begun shedding their prime labour force, particularly in the construction sector.

Price and income developments

The rate of wage and price inflation continued to decline quite sharply during 1976 from the peak levels reached around late-1974/early-1975[10]. By the final months of last year wholesale prices were rising at an annual rate of only about 3 per cent, industry selling prices marginally faster and consumer prices at 6 per cent. The average increase for the consumer price index, the price indicator to which the anti-inflation programme goals are primarily oriented, dropped to 7½ per cent in 1976 (about 1 percentage point below the average OECD figure, but still clearly above the 5.8 per cent rate recorded in the United States). Food prices have played a major role in this favourable development[11]. Indeed, the improvement when food is excluded is modest. To some extent this is attributable to the prices of services which have shown little deceleration (on a year-on-year basis they even accelerated in 1976).

9 The Unemployment Insurance Corporation (UIC) legislation, which provides probably the most generous unemployment benefits among at least the larger OECD countries.

10 The role of the anti-inflation programme in these developments is examined in Part II below.

11 A further factor was the near 15 per cent deceleration in (non-food) import prices, partly achieved thanks to a year-on-year effective appreciation of the Canadian dollar.

Excluding both food and services, some improvement is evident, although this appears to have come to a halt in the latter part of last year. During the first five months of 1977, several special factors led to a reacceleration of consumer prices which rose at 8½ per cent annual rate compared with the preceding five months period. Food price increases were particularly sharp, partly because of the currency's depreciation and there was also a large government approved rise in the price of energy.

Indices of average labour *earnings* in 1976 decelerated markedly less rapidly than consumer or industry selling prices. Average weekly earnings in industry were still rising at about 10½ per cent annual rate during the final quarter of 1976, less than 3 per cent below year-earlier figures. And in manufacturing there was virtually no deceleration. For the whole economy the overall wage and salary bill rose by just over 15 per cent last year[12] which,

Table 4 **Selected price and wage developments**
Percentage changes

	From previous year				From corresponding quarter of previous year				
					Peak	1976			1977
	1973	1974	1975	1976	Qr[1]	Q2	Q3	Q4	Q1
Prices									
Consumer prices									
Total	7.5	10.9	10.8	7.5	12.0	8.5	6.5	5.9	6.8
Food	14.6	16.3	12.9	2.7	16.2	5.0	0	−1.1	2.8
Total excluding food	5.1	8.8	10.1	9.4	10.4	9.9	9.2	8.7	8.3
Services	6.2	8.0	10.7	12.2	9.4	12.7	12.3	11.4	10.4
Total excluding food and services	3.2	9.2	8.9	7.4	10.8	7.6	7.0	7.0	6.4
Wholesale prices									
Total	21.5	22.4	6.6	4.3	27.0	6.0	3.4	2.9	7.4
Non-farm products	14.9	21.7	9.9	7.8	23.9	6.9	8.2	8.0	10.3
Industry selling prices	11.2	19.0	11.1	5.1	20.5	5.5	4.7	4.3	6.1
Wages									
Negotiated wage settlements[2]	9.8	14.3	17.1	10.4	18.8	11.0	9.7	8.2	8.6
Hourly earnings in manufacturing	8.8	13.5	15.6	14.1	18.2	14.4	14.1	13.3	12.3
Average weekly earnings in industry	7.2	11.2	14.0	12.3	15.2	13.2	11.8	11.3	10.2
Unit labour costs									
Total	7.8	15.6	15.5	9.6	20.8	10.0	8.1	11.6	10.1
Commercial non-farm sector	7.3	12.7	15.1	9.1	18.3	8.7	8.5	9.5	
Manufacturing	5.0	12.3	14.6	8.5	18.0	8.2	7.7	8.5	

1 Quarter corresponding to the maximum rate of increase recorded in respective overall index as follows:

Consumer prices	1974 Q4
Wholesale prices: total	1974 Q1
non-farm	1974 Q2-Q3
Industry selling prices	1974 Q4
Negotiated wage settlements	1975 Q2
Hourly earnings in manufacturing	1975 Q2
Average weekly earnings	1975 Q2
Unit labour costs:	
total	1974 Q4
commercial non-farm sector	1975 Q1
manufacturing	1975 Q1

2 Resulting from major collective bargaining settlements (that is, covering at least 500 employees) excluding construction.

Sources: Statistics Canada, *Consumer Prices and Price Indexes, Canadian Statistical Review;* Labour Canada, "Wage Developments Resulting from Major Collective Bargaining Settlements"; Secretariat estimates.

12 This figure is affected by large retroactive payments to civil servants (mainly in Quebec); adjusted for this the total increase would have been about 14 per cent.

given the increase in employment, implies an average rise per paid worker of a good 13 per cent, or the same as recorded in 1975. On the other hand, wage settlements under major collective agreements continued to decline rapidly from the peak figure of almost 19 per cent (average for all contracts) reached during the second quarter of 1975 to just over 8 per cent by the final quarter of last year. Although these data for new settlements cover only 20 per cent of the total workforce and do not capture actual wage rate movements in the economy, past evidence would suggest that they are a good forward indicator of the direction and magnitude of movements in the latter[13]. In fact, the rates of increase in average weekly earnings have continued to decelerate during the early months of 1977. Wages rose at a seasonally adjusted annual rate of 4.5 per cent between March 1977 and December 1976. On a year-over-year basis, the increase in March was 9.8 per cent compared with 11.5 per cent in December.

This relatively rapid growth of wage costs, combined with a sluggish productivity performance, has reduced the improvement in unit labour cost which could have been expected in the present phase of the cycle[14]. Overall productivity growth in 1976, at 2½ per cent, was little above the longer-run average, and well below what might have been expected following a year of slow growth like 1975. Between the last peak of 1973 and 1976, Canada has experienced very little advance in productivity, a situation paralleled only in the United States among major OECD countries. Unit labour costs probably rose by some 10 per cent in 1976 which, combined with much lower increases in both consumer and wholesale prices, had a sharply restraining effect on profits. On a pre-tax basis these, having declined by some 1 per cent in 1975, virtually stagnated in 1976 when their share in national income fell below trend. Though this pattern has been quite contrary to previous cyclical experience, when profits typically increased their share during a recovery phase, it should be seen against the rather unusual movements in the profit share in the three years to 1974 during which profits, whether one includes profits made on the revaluation of inventories or not, surged upwards.

The balance of payments

Thanks to a swing in relative cyclical positions and a small gain in the terms of trade, Canada's trade balance improved by $1¾ billion and returned to surplus in 1976. But the improvement in the current account was much more modest since for the second year running the invisibles deficit widened by more than $1 billion. On the capital account, there were unprecedentedly large long-term capital inflows ($7½ billion), more than accounted for by new issues of Canadian securities abroad, and short-term outflows (over $2½ billion).

13 Owing to a shortening in agreement periods which had become evident during the recent inflationary experience, two-thirds of employees were covered by new agreements last year. The index of base rates applying to the total stock of existing major agreements rose by some 20 per cent during the 1½ years to the last quarter of 1976. The settlements figures quoted above do not reflect the possible upward influence of cost-of-living clauses; in fact almost 40 per cent of employees under collective agreements settled last year obtained increases under such a clause. On the other hand, the figure for the fourth quarter of 1976 does not take account of possible downward adjustments to rates consequent to action by the Anti-Inflation Board.

14 Up to the end of last year productivity had only increased at an annual average rate of 1.3 per cent since the recovery began in spring 1975, compared with an average of 4.4 per cent during the corresponding period of earlier postwar recoveries.

Table 5 **Balance of payments**
$ million, annual rates

	1973	1974	1975	1976	1975 II	1976 I	1976 II
Seasonally adjusted							
Exports, fob	25 461	32 591	33 347	38 019	34 052	37 180	38 858
Imports, fob	22 726	30 893	33 986	36 887	34 090	36 926	36 848
Trade balance	2 735	1 698	−639	1 132	−38	254	2 010
Invisibles, net	−2 639	−3 190	−4 326	−5 461	−4 750	−5 112	−5 810
of which:							
Travel	−296	−284	−727	−1 182	−728	−1 270	−1 094
Interest and dividends	−1 260	−1 529	−1 970	−2 562	−2 244	−2 164	−2 960
Current balance	96	−1 492	−4 965	−4 329	−4 788	−4 858	−3 800
Not seasonally adjusted							
Current balance	96	−1 492	−4 965	−4 329	−3 880	−5 898	−2 760
Long-term capital, net	385	871	4 106	7 548	5 920	9 454	5 642
of which:							
Direct investment	−35	−50	−20	−950	−52	−380	−1 520
Portfolio transactions	661	1 772	4 727	8 679	6 230	10 148	7 210
Basic balance	481	−621	−859	3 219	2 040	3 556	2 882
Short-term capital and unrecorded, net	−948	645	455	−2 697	−1 806	−2 206	−3 188
Balance on official settlements	−467	24	−404	522	234	1 350	−306
Memorandum item:							
Total capital movements, net	−563	1 516	4 561	4 851	4 114	7 248	2 454

Source: Statistics Canada, ***Quarterly Estimates of the Canadian Balance of International Payments.***

The exchange rate strengthened through most of 1976 and its effective appreciation (year-on-year) was close to 5 per cent. In late 1976, however, the Canadian dollar came under some pressure and this has continued in early 1977. From October to April the effective depreciation rate was of the order of 9 per cent.

The volume of merchandise exports, which had fallen for two years in succession, rose by some 12 per cent in 1976, bringing it back to about its 1973 level. Growth slackened through the year, partly in response to demand trends abroad, but also under the effect of the United States auto strikes in the latter part of the year. The early months of 1977 have witnessed some rebound from the depressed fourth quarter levels. The United States recovery in housebuilding activity and strong upsurge in car demand were the two main forces which propelled Canadian exports. Some 70 per cent of the increase in sales abroad was accounted for by forest products (other than newsprint) and automotive equipment. Other primary product exports (excluding energy products and wheat) witnessed reasonable growth rates. There was a further fall (by some 25 per cent) in shipments of oil and natural gas, in line with the longer-run policy of reducing exports of Canada's energy resources[15]. On the import side, the relatively weak development of domestic demand and particularly of the very import-intensive machinery investment item, moderated the rise in purchases abroad. Import growth was concentrated in the first quarter of the year which witnessed very large stock accumulation, and has

15 This policy has led to a rough halving in the volume of crude petroleum and natural gas exports from their 1973 peak. Thanks to price increases, however, in nominal terms exports have doubled since 1973.

since remained sluggish. The most buoyant items have been consumer goods including food, in line with the development of consumption expenditure. Imports of producer equipment, on the other hand, increased only marginally. The improvement in the trade balance in real terms was accompanied by a 1 per cent improvement in the terms of trade (national accounts basis) reflecting a less than 1 per cent increase in import prices (largely thanks to a drop in food prices and the effective appreciation of the Canadian dollar) and a 1¾ per cent rise in export prices more or less evenly spread among primary products (other than food) and manufactures.

While the improvement in the trade balance was close to what was forecast by the OECD Secretariat a year ago, the deterioration in the invisibles account was roughly twice the swing expected at that time. The travel and interest and dividend deficits widened by very large margins ($450 and $600 million respectively) while the deficit on other invisible transactions continued its trend deterioration. The rise in factor income payments was entirely accounted for by interest payments which rose by 40 per cent (dividend outflows remained flat), and can largely be explained by the very sharp rise in Canadian long-term borrowing abroad coupled with an increase in long-term interest rates. The reasons for the further sharp deterioration in the travel account are more complex. Canada's tourist deficit which, between 1969 and 1974, has oscillated between $200 and $300 million, has widened in the space of two years by nearly $1 billion. On the receipts side there was a significant deceleration in 1975-1976 largely consequent upon the severity of the United States 1975 recession as well as the 1976 United States Bicentennial celebrations, while the staging of the Olympic games in Canada seems to have had only a relatively small positive effect. But the major reason for the deterioration was a 60 per cent increase in expenditure by Canadian tourists abroad from 1974 to 1976. It is unlikely that the 2½ per cent difference in price movements with the United States (adjusted for exchange rate changes) over these two years can explain the whole of this rise. And though real disposable income increased rapidly, it had risen even more rapidly between 1970 and 1974. More important may have been the lengthening of vacations in Canada and particularly the increasing tendency by Canadians to take not only summer but also winter holidays (which are usually spent in warmer climates).

Flows on capital account were particularly large last year. Gross new issues of Canadian bonds abroad, at close to $9 billion were well above the previous peak of $5 billion recorded in 1975; the direct investment account—traditionally a positive item—recorded a net outflow close to $1 billion while short-term capital movements also posted an unprecedentedly large deficit ($2.7 billion). The rather exceptional outcome on direct investment account reflects largely some special transactions, namely the purchase by Canadians of foreign-owned companies located in Canada[16]. The massive flotation of Canadian bonds overseas, which had already begun late in 1975, was, on the other hand, a function of both unusually high interest-rate differentials and the magnitude of the borrowing requirements[17]. The spread between domestic and foreign long-term interest rates which had opened up in 1975 remained sizeable throughout last year as a consequence of monetary policy, and this provided a strong incentive to both corporations and non-federal levels of government to look for funds abroad[18]. At the short end of the market, there was a widening of the differential between

16 Excluding these, there was a relatively small inflow of $275 million, perhaps not surprising given the fall of over 20 per cent in United States direct investment abroad in 1976.

17 The withdrawal of the withholding tax on interest paid to non-resident holders of Canadian corporate bonds, announced in June 1975, has of course greatly facilitated the floating of Canadian bonds abroad.

18 See Diagram 5 below.

Canadian interest rates and those abroad, although the covered interest rate differential remained, as usual, close to zero throughout 1976. Hence, other incentives must have motivated short-term flows. Some outflows were a temporary offset to the inflows on securities account as corporations and local governments which were not in immediate need of the funds, temporarily placed part of the proceeds in foreign markets; moreover the improvement in the trade balance is likely to have led to a deterioration in the trade credit account; and particularly large outflow (nearly $1½ billion) is accounted for by trade credit and unrecorded transactions in the fourth quarter of the year. At that time a change in the Bank of Canada's monetary policy led to a relatively sharp fall in short-term interest rates. Even though the (covered) differential with United States rates did not change very much, the market reacted fairly strongly, partly influenced by political uncertainties following the Quebec elections. The value of the Canadian dollar fell from US $1.029 at end-October to US $0.991 at end-December and the downward movement continued in early 1977. By end-April the Canadian dollar stood at 95½ US cents and its effective depreciation from October was of the order of 9 per cent. The authorities did not intervene in the market except to encourage orderly market conditions. In 1976 reserves rose by US $½ billion, but then fell by US $0.6 billion in the first five months of 1977.

Though Canada's current deficit was reduced in 1976 and no difficulties were met in financing it, concern has been expressed in numerous quarters about the persistence of a sizeable deficit in a period which should have been cyclically favourable from the balance of payments point of view. This concern was already voiced in last year's OECD Survey[19] when two separate yet related issues were raised which will be taken up again below:

(*i*) The structural versus cyclical component of Canada's current deficit;
(*ii*) The appropriateness of Canada recording a deficit over the last three years equal to some 2 per cent of its GNP.

There has been a fairly steady deterioration in Canada's trade and current balance from the 1970 peak, both in absolute terms and relative to GNP. Taking the trade surplus in real terms, for instance, this stood at some 3 per cent of GNP in 1970, was down to ½ per cent of GNP in 1972-1973 and had swung into a deficit equivalent to 1½ per cent of total output in 1976. Such trends are very mild slowdown compared to the recession witnessed in most other OECD countries and particularly across the border. In 1976 relative cyclical positions probably moved in a direction which was more favourable to Canada from the balance of payments point of view, but pressure on resources may have still been somewhat weaker, at least in the United States than in Canada.

In addition to the influence of business cycle developments, the country's weak trade balance situation may also have been affected by losses in Canada's price competitiveness. Thus it appears that there has been a progressive erosion since about 1969 in Canada's manufacturing wage/cost differential vis-à-vis the United States partly linked to an appreciation of the currency over these years. Whether one hour of Canadian labour now costs more or less than one hour of United States' labour is difficult to say. In assessing international competitiveness of course strongly influenced by cyclical developments at home and abroad[20]. This is particularly true for the years 1974-1975 when Canada recorded only a much depends on productivity levels, indirect costs and benefits as well as on the sectors chosen for the comparison[21]. But in relative terms it is undeniable

19 OECD, *Economy Survey of Canada*, p. 41.

20 But only much less so, in the case of Canada, by the oil crisis.

21 A yet unpublished study by the Conference Board in Canada would indicate that by mid-1975 absolute manufacturing costs in Canada had overtaken those in the United States in about two-thirds of the sectors investigated.

that divergent wage trends in the two countries have led to a growth of unit labour costs in manufacturing which (in US dollar terms) has been some 10 per cent more rapid in Canada than in the United States over the past six years[22]. It is true that a more favourable picture emerges if the comparison is made with the OECD area as a whole. Vis-à-vis Western Europe and Japan, Canada has recorded gains in competitiveness which seem to have more than offset the deterioration suffered vis-à-vis the United States[23]. However, the particular method by which these figures have been calculated by the Secretariat may not be as appropriate for Canada as it is for other countries given the relatively narrow base of Canadian manufactured exports and the concentration on automotive equipment sold to only one market. More generally, the deterioration in competitiveness vis-à-vis the United States may have had a more than proportionate effect on Canada's export and import performance because of the close links between so many of Canada's firms with affiliated or parent companies across the border. Decisions to rationalise production, particularly in periods of below capacity operation, may have led to substantial shifts in trade flows. But of course, these various arguments are highly tentative and a good deal more research is required before a fuller explanation can be provided.

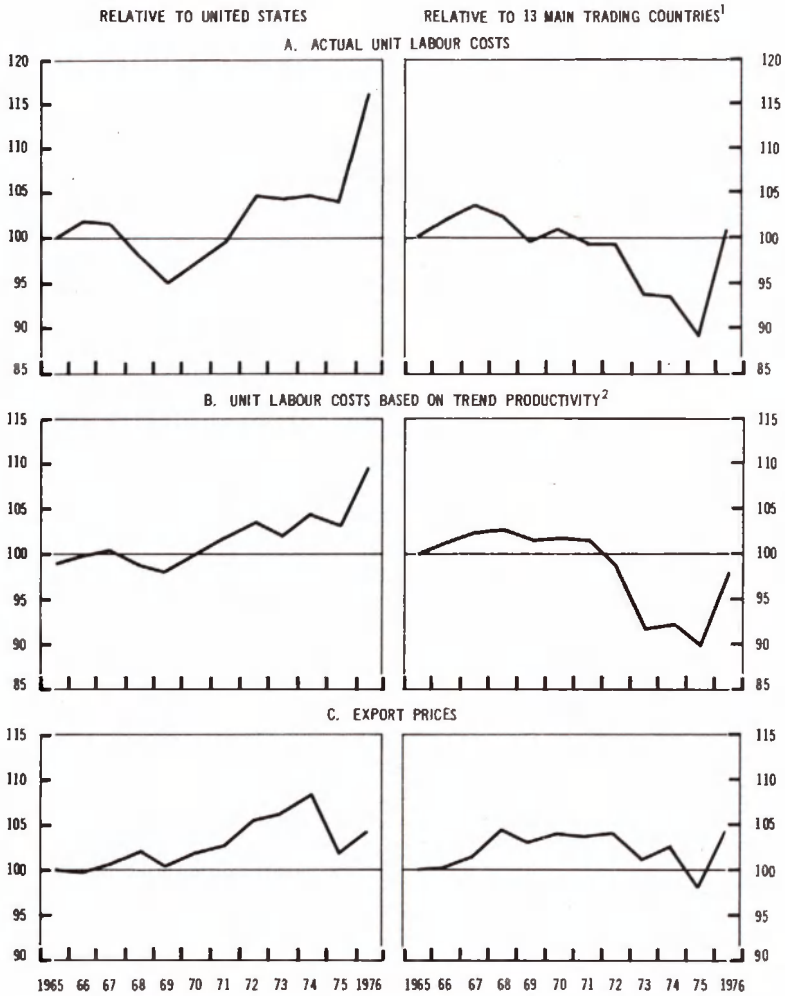
In addition to these cyclical and competitiveness considerations, it could also be argued that some more structural factors have affected Canada's current account in recent years. On the trade side there has been the deliberate policy of cutting back energy exports. And on the invisibles side, there has been a sudden widening of the deficit. Canada has traditionally had a sizeable deficit on service transactions but since the early 1960s and until 1974 this deficit, though growing in absolute terms, had remained a relatively constant proportion of GNP. Over the last two years, on the other hand the deficit has risen sharply, from 2.2 to 3 per cent of total output[24]. It is unlikely that this deterioration will continue at the same rate in the coming few years. The very steep rises in interest payments and perhaps, in travel expenditure recorded between 1974 and 1976 may represent once and for all step increases, which need not be repeated to the same extent in the future. But it is equally unlikely that the deficit will decline again even as a percentage of GNP, given continuing foreseeable current deficits, the size of Canada's outstanding debt and the likelihood that the income elasticity of demand for foreign travel is above unity.

22 This calculation is based on data published by the U.S. Bureau of Labor Statistics and uses a trend rather than an actual productivity value to calculate unit labour costs, on the assumption that the effect of short-run fluctuations in capacity utilisation on costs does not get reflected in pricing policies. On an "actual productivity" basis, the relative increase in Canada's costs over the period, is 19 per cent. A Canadian study which adjusted the two countries published hourly earnings series in manufacturing for such factors as fringe benefits, differences in overtime and part-time work, etc., comes up with a 6 per cent deterioration in Canada's position over the 1969-1975 years; see B. Goldman and J. Maxwell, "Confronting the Changes in the U.S. - Canada Wage Gap", in J. Maxwell (ed.), *Challenges to Complacency*, C. D. Howe Research Institute, 1976 and "News Release" by the same Institute, of May 27, 1976.

23 This result is obtained by weighting together unit labour costs series for 13 major trading countries. The weighting system used which is also the one used by the Secretariat in its calculations of effective exchange rate changes, is in substance based on a combination of weights derived from bilateral manufacturing trade flows as well as from potential substitution effects on each market from third countries' exports.

24 It should be noted that these figures somewhat understate the size of the invisibles deficit since the usual Canadian balance of payments presentation excludes from the services item profits earned by foreign companies and reinvested within Canada. According to the IMF's standardised definitions these should be recorded as service payments and direct investment inflows. The last official figure available on such transactions so far is for 1973. At the time their inclusion would have increased the size of the invisibles deficit from 2.2 to 4.1 per cent of GNP.

Diagram 3 **Relative unit labour costs and export prices in manufacturing**
Indices, 1965=100; based on US dollar values



1 For weighting scheme, see text.
2 For explanation see text.
Sources: US Bureau of Labor Statistics and OECD estimates.

The recent depreciation of the currency and a continuation of the change in relative cyclical positions which had begun in 1976 could lead to some improvement in Canada's current account. But a more important determinant will be the movement in Canadian costs and prices vis-à-vis United States trends. It could of course be argued that the prospect of large and possibly growing current account deficits should not be viewed with too much apprehension. Canada has long had current deficits and has traditionally been able to finance them without difficulties. It has also been generally felt that, given the country's

Table 6 **Trends in invisible account**
In per cent of GNP

	Travel, net	Interest and dividends, net	Other invisibles, net	Total
1968	0	−1.2	−0.9	−2.2
1969	−0.3	−1.1	−0.9	−2.4
1970	−0.3	−1.2	−0.8	−2.3
1971	−0.2	−1.2	−0.8	−2.3
1972	−0.2	−1.0	−0.9	−2.1
1973	−0.2	−1.0	−0.9	−2.1
1974	−0.2	−1.0	−1.0	−2.2
1975	−0.4	−1.2	−1.0	−2.6
1976	−0.6	−1.3	−0.9	−2.9

Source: Bank of Canada Review.

natural resource endowment, some current deficit was appropriate. Moreover, though there is no international consensus on what the appropriate structure of individual countries' balance of payments should be, it could be plausibly argued that Canada's current deficit could and should now be larger than it was in the pre-1974 days, given the emergence of OPEC as a major surplus group of countries. But three sets of considerations need to be borne in mind in this context. Firstly, while a relatively large deficit may be acceptable, a growing deficit is a more worrying prospect[25]. Secondly, the argument that Canada, not unlike a developing economy, needs to import resources in order to exploit its natural endowment has to be tempered by the knowledge that Canada, whose standards of living are among the highest in the world, has traditionally recorded an overall saving ratio, as a per cent of GNP, below that of most other OECD countries with the major exceptions of the United States and the United Kingdom. Thirdly, the appropriateness of tapping foreign savings rests on the case that these be invested at home. But, as was mentioned earlier, the last two years of relatively high deficits have, if anything, seen a consumption boom. The situation here is in some ways the opposite to the one witnessed some 20 years ago when Canada was also recording very large current deficits. At that time, investment rose relatively sharply while the share of consumption stagnated. On this occasion, on the other hand, it is private consumption which has been the more buoyant element of demand[26].

25 Particularly in view of Canada's large foreign indebtedness. At the end of 1976 Canada's net foreign debt may have stood at some 26 per cent of GNP (one of the highest ratios in the OECD area, but admittedly a relatively low one by past Canadian standards).

26 Taking the periods 1955-1958 and 1973-1976 which, though not fully comparable, both begin with a boom year and end in a sluggish year, one can see the following developments:

	Current balance (in per cent of GNP)	Non-residential investment	Private consumption
		(Changes in per cent of GNP between end-years)	
1955-1958	−3.6	2.4	0.9
1973-1976	−1.6	0	4.6

Table 7 **Gross national savings and income per capita in Canada and in selected OECD countries**
Average 1970-1975

	Gross national savings as percent of GDP	GDP per capita in U.S. dollars
Canada	22.1	5 388
Australia	25.0	4 447
France	25.0	4 310
Germany	25.7	4 936
Italy	21.6	2 365
Japan	37.3	3 181
United Kingdom	18.4	3 014
United States	17.9	5 903

Source: OECD, *National Accounts of OECD Countries.*

II ECONOMIC POLICY

As indicated in last year's OECD Survey, Canadian economic policy moved to a clear expansionary posture in mid-1974 to counteract the impact on domestic activity of strong external deflationary impulses. This policy was instrumental in minimising the effects on output and employment of the pronounced decline in United States demand. Indeed, Canada experienced one of the mildest recessions in the OECD area and over the whole 1973-1976 period its recorded growth in both total output and in per capita real income[27] was among the highest in the industrialised world. This very satisfactory performance was, however, accompanied by a rate of inflation which was not only high by historical standards but was also well above that experienced in the United States. Under these circumstances, and with evidence that following a slowdown in early 1975, a recovery was incipient, policy swung over to a less expansionary stance in the course of 1975. A broadly conceived anti-inflation programme was introduced which rested not only on use of the traditional fiscal and monetary instruments of economic policy but also on the adoption of mandatory prices and incomes controls, following failure to obtain agreement with the social partners on a system of voluntary restraint.

This stance was pursued in 1976. It was felt at the time of the introduction of the programme that progress in eradicating inflation, and particularly inflationary expectations was likely to be gradual and could only be achieved if the policy posture remained firm and did not waver in reaction to short-run fluctuations. Hence, despite the subsequent sluggishness in output growth, neither fiscal nor monetary policies have departed from the tighter posture announced in mid-1975. The target growth rate of money supply (M1) was reduced in mid-1976, in line with an expected deceleration in nominal GNP growth, while the stance of the budget presented in March 1977 remained cautious. So far at least policy making has also been able to observe those rules of conduct it had broadly set itself in 1975—a growth of public expenditure equal to that of nominal GNP and a monetary management designed to ensure a regular and decelerating expansion of money supply, which pays reduced attention to interest

27 Adjusting for terms of trade changes.

or exchange rate fluctuations. This relatively "non-interventionist" posture, which contrasts with the much more active demand-management policies followed by the Canadian authorities in the past, has, however, been complemented by direct intervention in the price-wage settlement mechanism through the operations of the "Anti-Inflation Board".

Fiscal policy

The budget presented in May 1976 had planned for a reduction in the federal deficit from some $4 billion in the FY 1975-1976[28] to $3½ billion thanks to a relatively sharp deceleration in expenditures and to a more normal growth in revenues following the tax concessions made in 1975. In the event, the deceleration in expenditure was slightly faster than planned, but revenues fell nearly $2 billion short of the expected level and the deficit rose to a record $4½ billion. This outcome appears to have reflected the operation of "automatic stabilisers" on the revenue side, as the budget had been based on a 5½ per cent GNP growth rate and to an oversestimate of income tax revenues. The shortfall was largely accounted for by lower income and corporate tax receipts[29]. It should be noted that even if the rise in personal taxation at 18 per cent was well below the expected 25½ per cent, it was nonetheless some 5 per cent above the growth of per capita wage and salary income. This took place despite a tax indexation factor of 11.3 per cent, well above the 7.5 per cent rise in consumer prices and would seem to confirm, as already noted in last year's OECD Survey, the presence in Canada of a relatively high income tax elasticity.

Table 8 **Federal government budget**
National accounts basis

	Million dollars			Per cent change from previous fiscal year	
	1975-76	1976-77[1]	1977-78[2]	1976-77[1]	1977-78[2]
Revenues	32 326	36 185	38 400	11.9	6.1
Direct taxes on persons	15 974	18 865	19 475	18.1	3.2
Direct taxes on corporations	5 145	5 080	5 600	−1.3	10.2
Indirect taxes	8 045	8 560	9 190	6.4	7.4
Other[3]	3 162	3 680	4 135	16.4	12.4
Expenditures	36 312	40 660	44 100	12.0	8.5
Goods and services	10 087	11 200	12 425	11.0	10.9
Transfer to other levels of government	7 627	9 475	9 125	24.2	−3.7
Transfer to persons	11 011	12 075	13 725	9.7	13.7
Other	7 587	7 910	8 825	4.3	11.6
Budget balance	−3 986	−4 475	−5 700	..	..
Memorandum item:					
Budget balance as percent of GNP	−2.4	−2.4[4]	−2.7[4]	..	..

1 Official estimates.
2 Official forecasts.
3 Includes direct taxes on non-residents.
4 Based on OECD forecasts of nominal GNP.
Sources: Department of Finance, *Budget Document* and Secretariat estimates.

28 The fiscal year goes from 1st April to 31st March.
29 These had been estimated to rise by 25½ and 14½ per cent respectively as against actual outcomes of 18 and −1¼ per cent.

Expenditure trends at the federal level appear to have been well within the limits implied by the longer-term policy announced in October 1975 that the total spending of all levels of government should not increase faster than the trend in gross national product. On a calendar year basis, the growth of outlays has come down from some 23 to 9½ per cent. Although no formal commitment exists, it would appear that most provincial governments also share this broad objective. The deceleration in the growth of the combined expenditure of provincial and local governments (including hospitals) has, however, been less marked—from 22 per cent in 1975 to around 14 per cent last year. At the same time there has been a clear difference between governments in respect of the categories of expenditure which have accounted for the slowdown in total outlays. At the federal level the major burden of restraint has fallen on transfers[30]. In the case of other levels of government the main incidence of expenditure cutbacks has been on final outlays[31], while the growth rate of transfer payments rose by some 3 percentage points to 24 per cent.

Table 9 **Public revenue and expenditure**
Percentage change from previous calendar year

	Federal			Other governments[1]			General goverment[2]		
	1974	1975	1976	1974	1975	1976	1974	1975	1976
Total revenue	31.3	6.6	12.6	23.2	15.7	13.9	26.7	10.3	13.8
Direct taxes on persons	24.6	12.5	18.9	24.1	14.4	15.5	24.4	13.5	17.6
Direct taxes on corporations	36.8	12.4	2.7	36.3	16.9	−5.9	36.7	13.7	0.2
Indirect taxes	45.5	−7.2	8.6	14.1	10.1	16.7	25.1	3.1	13.7
Other revenue	18.7	9.6	9.9	31.2[3]	21.7[3]	13.7[3]	27.9	16.5	15.2
Total expenditure	28.7	22.9	9.4	21.0	21.9	14.3	24.2	22.3	12.4
Goods and services	21.6	12.2	16.9	20.3	23.8	14.6	20.7	20.7	15.2
Transfers to persons	24.2	22.0	7.7	22.4	22.2	21.9	24.0	22.9	14.0
Other	36.8[4]	29.7[4]	6.8[4]	22.0	16.5	8.3	32.0	25.0	5.8
Memorandum items:									
Budget balance (million $)	1 079	−3 555	−2 884	−160	−2 212	−2 655	2 694	−3 768	−3 364
Budget balance as percent of GNP	0.7	−2.1	−1.5	−0.1	−1.3	−1.4	1.8	−2.3	−1.8

1 Provincial governments, local authorities and hospitals.
2 Including Canadian and Quebec pension plans.
3 Including transfers from Federal government.
4 Including transfers to other levels of government.
Source: Statistics Canada, *National Income and Expenditure Accounts.*

30 The suspension of indexation of family allowances in 1976 (included in the December 1975 package of federal expenditure cuts) and the tightening in conditions for receipt of unemployment benefits (introduced in the June 1975 budget) were the main contributors to the slowdown in the growth rate of transfers to households, while a 20 per cent drop in subsidy payments was accounted for entirely by a reduction in subsidies on imported oil.

31 The differing patterns of estimated volume expenditure developments were touched on in Part I above.

The speech accompanying the March presentation of the Budget for the 1977-1978 fiscal year made it clear that the fight against inflation was to continue to receive top priority. Some stimulative measures were provided for, designed primarily to help business investment[32], but the overall stance (based on a forecast GNP development of 4 per cent) would seem cautious. The revenue and expenditure data presented in the budget are somewhat distorted by a revision to the system of federal/provincial revenue sharing which broadly implies that a larger proportion of total direct tax revenues will now go directly to provincial administrations, while their receipts of federal transfers will be correspondingly reduced. Estimates for the impact of this on federal revenue and expenditures are presented in the budget documents only on a "cash basis" and may therefore not be directly comparable with the figures shown in Table 8. A tentative adjustment suggests that income tax revenues (in the absence of the new regulations) would have increased by some 15 per cent in 1977-1978, down only by 3 per cent from the 18 per cent recorded in the preceding fiscal year (despite a much sharper deceleration in total household income growth and an indexation factor above the likely growth of consumer prices[33]), while total revenues would have risen at roughly the same rate as in 1976-1977. On the expenditure side, though savings appear to be somewhat smaller than the shortfall in receipts, the adjusted growth rate would also have been very close to the one recorded in 1976-1977. In all, on an adjusted basis, there would have been little acceleration or deceleration in either revenues or outlays, and the budget deficit would have been close to $5 billion. Although it is as yet too early to assess the impact of provincial budgets, since not all have yet been presented, those so far brought forward have tended to emphasise restraint, with control of inflation and reduction of budget deficits as primary objectives.

The impact of fiscal policies on economic growth was probably broadly neutral in 1976. Unofficial estimates of the cyclically-adjusted federal budget show the latter swinging from a large deficit in 1975 to a somewhat smaller one in 1976, a movement broadly in line with the estimates of the federal "high-employment budget balance" presented in last year's OECD Survey. These estimates are, however, limited to central government transactions only. In order to provide a somewhat fuller assessment of the impact of general government operations on the economy, the Secretariat has tried to estimate the overall demand effect of the public sector on the basis of a very simplified quantitative model. These estimates, which are of within-year impacts only and thus do not take into account lagged effects of earlier budgetary measures, confirm the large boost given to activity in 1975, but suggest that the 1976 impact was contractionary. This would seem to be in line with the evidence provided by the "high-employment" budget estimates for the federal government, and with the fairly sharp deceleration in expenditures[34] and acceleration in revenues recorded by general government in 1976. For 1977, the only available indications are unofficial estimates of the federal budget on a cyclically-adjusted basis and of its demand impact, obtained through simulations of an econometric model. The former suggest some increase in the deficit though the latter indicate that the impact in 1977 of the measures introduced in the budget will be relatively small.

32 The main stimulatory measures announced in the budget were personal income tax concessions estimated to cost $0.4 billion (or 0.3 per cent of household disposable income in 1976) and business tax concessions calculated to cost $0.7 billion (or some 6 per cent of 1976 corporate after-tax income).

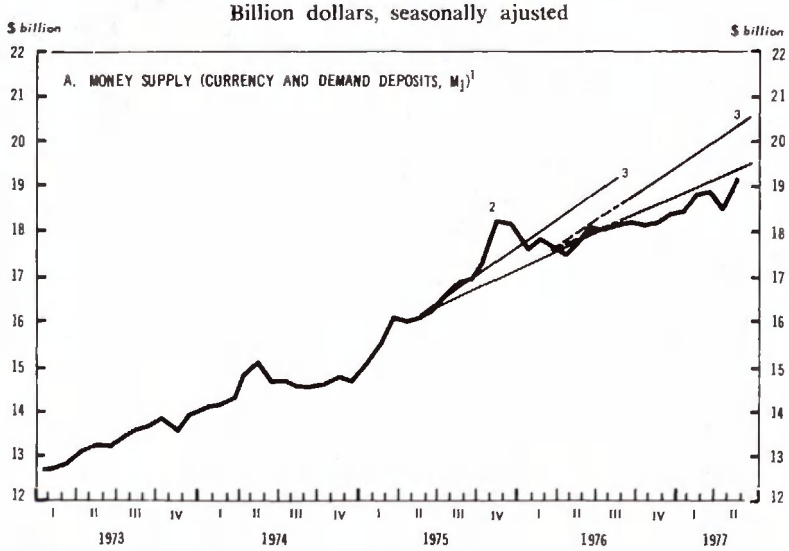
33 The indexation factor used to adjust the tax base in 1977 for inflationary developments is 8½ per cent against a Secretariat forecast for consumer price developments of 7½ per cent.

34 Which is even more pronounced in volume terms.

Monetary policy

Monetary policy had swung over to adopting a less accommodating attitude at about the same time as fiscal policy—that is in mid-1975. The 1976 stance was designed to permit a reasonable rate of output growth of the economy provided this was accompanied by a continuing decline in the rate of inflation. As indicated in last year's Survey, the Canadian authorities have modified their technique of monetary policy and now place increased emphasis on controlling the growth of the money supply. Thus, in late 1975 a target range of 10 to 15 per cent was established for the growth rate of M1, it being understood that the range would be subject to downward adjustment in line with the objectives set under the anti-inflation programme while accommodating the real growth requirements of the economy. Between October and mid-January, movements of M1 were inflated by a postal strike, but after the effects of this strike had disappeared monetary growth remained high and therefore bank rate was increased by ½ per cent in March. In the subsequent months monetary growth quickly decelerated to figures within and then below the target range which had been set. Coupled with the deceleration of inflation this led the Bank of Canada in August to announce a new 8 to 12 per cent growth target for M1 from its average level in the February-April period. In the nine months to April 1977 money supply remained constantly below the lower range of the new target, with the shortfall particularly pronounced at the end of the year. This prompted four successive cuts of the Bank of Canada's Bank rate from 9½ per cent in October to 7½ per cent in early May. During May, M1 grew sufficiently rapidly to bring it back to near target levels relative to the base period and preliminary weekly numbers for the first part of June are within the target range.

Diagram 4 **Money supply and monetary targets**
Billion dollars, seasonally ajusted



1 Monthly figures are average of Wednesdays.
2 Affected by postal strike.
3 Target ranges announced by the Bank of Canada in November 1975 and August 1976.
Source: Bank of Canada Review.

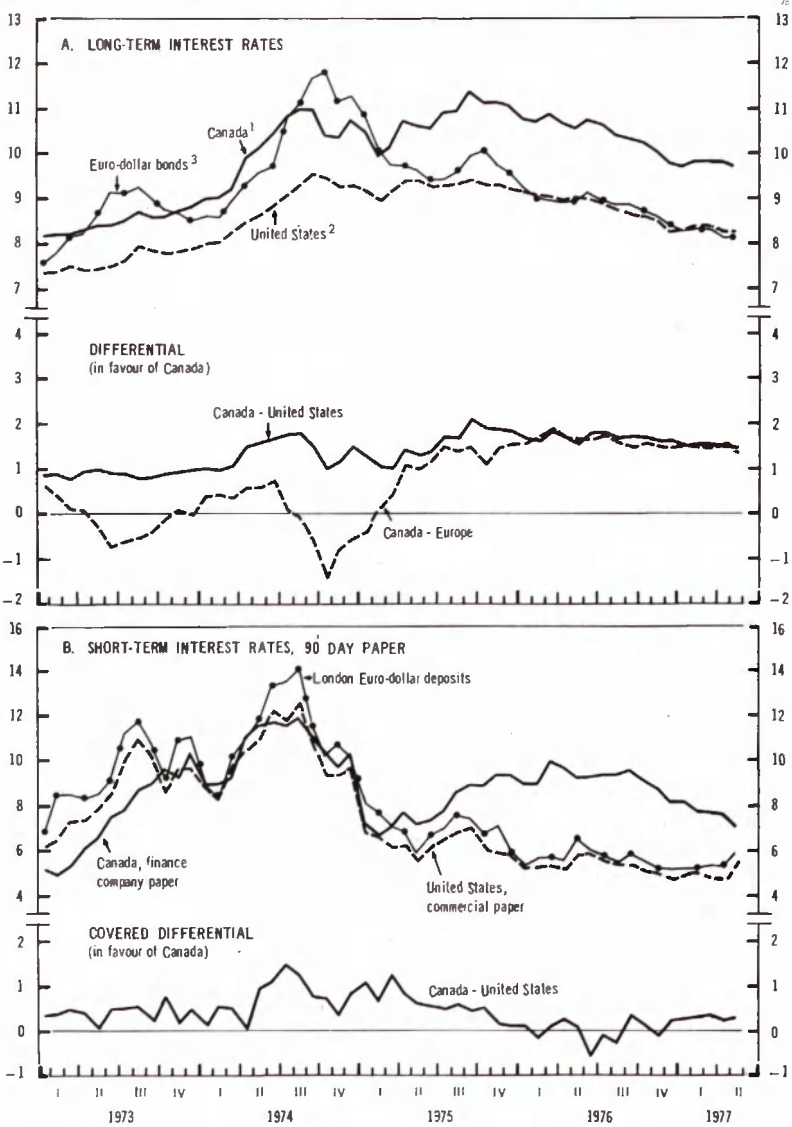
A corollary of the increased emphasis placed on control over the development of monetary aggregates is that the authorities were willing to see greater flexibility for the exchange rate of the Canadian dollar, since policy action designed to stabilise the exchange could have complicated the task of controlling money supply. Thus, as market forces drove up the exchange rate in the early months of 1976 and then brought it down quite sharply at the end of the year and again in early 1977, neither of these movements was resisted by the authorities (apart from day-to-day interventions designed to maintain orderly markets). Indeed, it was recognised that the exchange rate can be an important channel by which monetary policy affects the economy. The initial appreciation was viewed as helping the fight against inflation (albeit with some short-run adverse effects on competitiveness), while the more recent depreciation could be seen as sustaining weak domestic demand.

During late 1975 and into the early part of last year short-term interest rates were subject to the conflicting influences of the decline in short-term rates in the United States and the restraining stance of Bank of Canada policy. With the considerable financing requirements associated with the large build-up of inventories during the first quarter, short-term rates continued in fact to rise. This situation was reinforced by the increase in Bank rate in early March and the widely-held expectation that a further increase could be forthcoming. Indeed, the Bank at this stage intervened against further upward pressures by purchasing a considerably volume of Treasury Bills and bankers' acceptances in the open market. It was at this point that the gap between short-term interest rates in Canada and in the United States reached a peak of 4½ percentage points. In the second quarter Central Bank action as well as some easing in financing requirements on the part of corporations led to a steadying of Canadian rates although short-term rates in the United States began to shift upward again. Under the influence of a renewed decline in US rates from around mid-year, and with the rather weak development of domestic activity, short-term interest rates began to fall rather sharply from the autumn. This trend was subsequently reinforced by the Bank of Canada—which earlier had intervened to steady the market—through successive reductions in Bank Rate in the light of the slow growth of M1.

Long-term interest rates, apart from an upward adjustment in response to the February/March developments in the short end of the market, pursued a generally falling trend over the course of 1976, declining in all by about 1 percentage point between the beginning and end of the year. As this pattern closely mirrored that in the United States, the differential between the two countries remained rather stable. The spread between domestic long and short-term rates continued to narrow during the year particularly on government securities, so that by the third quarter the yields on official short and long-term securities were virtually identical. However, with the accelerated decline in short-term rates during the final quarter, the gap on government paper re-opened to 1¼ percentage points by year's end.

The basic stance of monetary policy was in accord with the Government's programme to gradually reduce inflation, but there is a question as to the interpretation of the development of monetary aggregates in the latter part of 1976 and in early 1977 when M1 remained below the lower end of the target range. In such circumstances a judgement had to be made as to whether departures from target were due to sudden changes in the demand for money (which it may take several months to detect) or unexpected nominal (or real) GNP developments. While the increase in bank rate in March was taken at a time at which activity was still growing rapidly and inflation was strong, the authorities did not, later in the year, react immediately to the slower growth in

Diagram 5 **Selected interest rate developments**



1 Bond yield averages for 10 industrials (McLeod, Young, Weir).
2 Corporate bonds industrial average (Moody's).
3 Issued by private companies, with remaining maturity of 7 to 15 years.
Sources: Bank of Canada Review and OECD Financial Statistics.

money supply. Although short-term interest rates declined somewhat in early autumn, bank rate was not reduced until late November. This reduction might have occurred sooner had it not been for the risk that it might have resulted in larger sales of Canada Savings Bonds than desired. An additional factor may have been the nervousness shown by the foreign exchange markets at this time. As the weakness in the real economy became increasingly evident, the Bank of Canada moved aggressively and, if with a relatively long lag, money supply growth was brought back close to target.

Price and incomes control

Last year's Survey outlined the conditions under which the present system of mandatory price and incomes controls was introduced in Canada in mid-October 1975 following the failure to achieve a system of voluntary guidelines[35]. These controls were conceived of as constituting one crucial element in a broader attack on the inflationary problem which comprised also the deployment of more traditional fiscal and monetary policy weapons. A major feature of the programme was that, contrary to the approach adopted in a number of other countries, it was oriented toward a gradual reduction in the growth rate of prices rather than seeking to rely, even initially, on the "cold shower" effect of a freeze on prices and/or incomes. Over the three "compliance periods" (that is the years to October 1976, 1977 and 1978) which the programme is designed to encompass, gradually declining target rates of 8, 6 and 4 per cent have been set for the growth of the consumer price index. Linked to this objective are targets for the growth rates of wage and salary earners' compensation, etc. Given the constitutional provisions, the provincial governments had the option to join the programme if they wished[36]. In fact, agreement was reached with eight of the ten provinces in respect of the compensation guidelines, while the remaining two provinces established their own independent programmes. Since the scope of the programme (in terms of the range of incomes under surveillance) is very broad and its degree of flexibility and detail are considerable, initial administration of the programme understandably produced a number of teething troubles which appear in turn to have led to a degree of uncertainty on the part of both sides of industry. Certain detailed modifications to the price control element of the programme have been made, the most important of which was introduced in September last year to apply to the third compliance period[37].

During the first year of controls, compensation plans covering 2.4 million employees (that is, just over two-thirds of the number subject to federal control) had been submitted to the Anti-Inflation Board. Of these, 1.1 million employees fell within the guidelines—the average increase in compensation being 7 per cent (compared with an arithmetic guideline of 10 per cent)—while the remainder which sought average increases of 15.6 per cent, were some 5.9 percentage points above the guidelines and accordingly subject to detailed examination by the Board. Of these latter cases, the Board had ruled on some 2 700 plans and allowed average increases of 11.4 per cent. By mid-March 1977 plans affecting 3.2 million employees (that is, about 90 per cent of the total subject to the federal scheme) had been submitted to the Board. Of these, agreements covering 1.2 million employees had been handed down. Table 10 summarises the status of these plans which cover the first 17 months of the Board's operation. Against the background of a generally declining trend in the size of compensation claims, the numerical target set for the first compliance period was achieved as the overall average increase in effective compensation fell 0.3 percentage

35 See OECD, *Economic Survey of Canada,* 1976 p. 34, as well as Annex B for a detailed description of the control programme's administrative arrangements.

36 That is, in respect to their public sectors, the private sector coming under the federal programme.

37 The main changes were:

(*i*) Firms are allowed a limited choice of base period, with, however, a provision that a minimum rate of return of 8 per cent on equity is permitted regardless of base period experience;

(*ii*) The permitted pre-tax profit margin is reduced from 95 to 85 per cent of base period figures (for distribution sector from 100 to 95 per cent) and product line tests are abolished. At the same time provision is made for offsetting certain new investment against excess revenue;

(*iii*) The number of firms subject to the pre-notification procedure was increased.

Table 10 **Compensation plans submitted to Anti-Inflation Board**[1]

Starting date of compensation increase	All plans submitted				Above guideline plans						All approved plans[2]			
	Employees covered (thousands)	Average percentage increase			Employees covered (thousands)	Per cent of all plans[3]	Average percentage increase				Employees covered (thousands)	Average percentage increase		
		Sub-mitted	Guide-line	Varia-tion from guideline			Sub-mitted	Guide-line	Varia-tion from guideline	App-roved		Effective compen-sation	Guide-line	Varia-tion from guideline
Pre-programme[4]	234.0	14.1	10.8	3.3	176.1	75.3	17.4	10.5	6.9	14.8	238.0	13.4	10.7	2.7
Programme year[5]	2 985.8	10.2	9.8	0.4	1 212.7	40.6	12.2	9.1	3.1	10.1	2 703.5	9.4	9.7	−0.3
Programme year[6]	1 229.9	8.2	7.9	0.3	490.1	39.8	8.8	7.6	1.2	7.6	1 005.6	7.8	7.9	−0.1
Programme year[7]	149.2	6.1	6.0	0.1	74.1	49.7	6.4	6.1	0.3	6.2	148.2	5.8	6.1	−0.3

1 Preliminary data based on application received by mid-March, 1977.
2 The difference between the number of plans submitted and approved consists of those above-guideline plans awaiting an Anti-Inflation Board decision.
3 Percentage based on number of employees covered.
4 Refers to compensation plans which were under negotiation at the time of the introduction of the programme on October 14, 1975.
5 Covers year ending October 13, 1976.
6 Covers year ending October 13, 1977.
7 Covers year ending October 13, 1978.

NOTE Multi-year compensation plans are spread over the relevant programme years.

Source: Canadian submission to Secretariat.

point below the arithmetic guideline of 9.7 per cent. And similar shortfalls are apparent for the agreements concluded so far covering the second and third programme years.

During the first compliance period (usually calendar year 1975) firms were permitted to report profit margins under four possible profit regimes: on distribution, unit cost, product line or net margin basis. Target profit margins were estimated for each firm based on the margins prevailing in each type of business during its base period. The average actual profit margin earned was 65.5 per cent of the target margin for all industries. The results for firms operating under the net margin regime (mainly manufacturing firms) fell significantly below the permissible target margins. Less than 45 per cent of all firms achieved profit margins which were close to target margins—defined by the Anti-Inflation Board as being in excess of 90 per cent of the target margin. These average figures obscure, of course, a broad scatter of results, both within and between industry groupings. During the first compliance period, while less than 45 per cent of the firms supplying information reported that profits were close to the target average, 18 per cent of firms generated excess revenue amounting to some $43 million. Data pertaining to the first nine months of the second compliance period (in most cases calendar year 1976) deriving from the quarterly reports of larger companies would suggest that the average actual margins will again be below average target margins. In addition, the average level of price increases sought by larger corporations under the pre-notification procedure has tended to decline since the beginning of 1976.

Table 11 **Actual and target corporate profit margins**
Per cent of gross revenue

	Reporting base[1]			Total
	"Distribution"	"Unit cost"	"Net margin"	
Base period margin (1974)	5.03	13.17	8.57[2]	..
Target margin (1975-1976)	5.03	12.51	8.14	7.73
First year (1975) actual margin	4.04	10.09	5.93	5.50
Second year (1976) actual margin[3]	3.21	6.84	5.51	..
Number of companies reporting in the first year	754	439	1 615	..

1 The system used to assess profit margins varies depending on firms. The "distribution" regime applies to companies in that sector. For firms not engaged in distribution, the "unit cost" regime limits profits per unit of individual items produced, while the "net margin" regime limits profits made on groups of items produced or on total production.
2 For the "net margin" regime the base period corresponds to the five years 1970-1974.
3 Based on first nine months of 1976 for the larger firms which are required to report quarterly.
Source: Canadian submission to the Secretariat.

The evidence so far suggests that income developments have clearly been more subdued in the period under review and this has, of course, been true of prices as well. But it is not certain that success on these two fronts can be entirely ascribed to the workings of the Anti-Inflation Board. The favourable price outcome was substantially influenced by the development of import prices which, measured in local currency terms, rose by a mere 1½ per cent in the twelve months to October 1976; the cost of imported manufactures ("end products") rose by barely 1 per cent, while that of food declined by over 3½

per cent. In addition, the farm-gate price of domestically-produced food, which also falls outside the scope of the controls, fell by some 8½ per cent. And on the wages side, some deceleration was already evident from new settlements data before the introduction of controls, a deceleration which might well have been reinforced by sluggish demand and slack labour market trends and the unexpected slowdown of consumer prices.

On the other hand, there are a number of indicators suggesting that the Board met with some success. On the income side, it appears, firstly, that compensation rates within the non-regulated sector have increased by perhaps 1 percentage point faster than those in the sector subject to direct control. Normally, the opposite result might have been expected since the unionised segment of the labour force (which is relatively more heavily represented in the larger firms and hence covered by the programme) tends to fare comparatively better when conditions in the labour market are slack. Secondly, compensation rates of employees within the non-commercial sectors, which may usually be thought of as less susceptible to general economic conditions, have decelerated faster than rates within the commercial sectors. Thirdly, although control over the profit margins of the larger companies probably implies effective control over most of the market through the normal interplay of competitive forces (particularly in a period of slack demand), there is evidence that the profit margins of controlled companies may have been around 1 percentage point below those of firms not subject to direct control. However, as indicated above, the profit margins of the controlled firms fell short of the limits set under the programme, which would suggest that the latter did not operate as a limiting factor. The fact that the Anti-Inflation Board was able to reduce significantly a number of the wage claims which were submitted to it is more difficult to interpret. On the one hand, the magnitude of union claims may well have been reduced in line with what was thought feasible of receiving Board approval; on the other, companies may well have acceded to claims which they could be confident would be "rolled back". On the price side, there does appear to be clear evidence that, at least during the early stages of the programme, companies delayed price increases against a background of the possible unfavourable publicity which contravention of the regulations would entail. In part, this postponement of pricing decisions could also be attributed to administrative delays in clarifying the detailed application of the regulations. Furthermore, under the pre-notification procedure there are many instances of firms either reducing the size of price increases sought or even not proceeding with applications[38].

On balance, the evidence presented so far would suggest that the programme has had a positive impact. To try to confirm this impression the Secretariat has carried out some econometric work. The results, however, have been relatively inconclusive. The outcome of a number of what are, of course, only very tentative tests carried out shows that while the actual development of wages was somewhat below what would have been predicted on the basis of past trends, the same was not the case for prices[39]. Similar findings have also been reported in econometric work undertaken in Canada. Such results should, however, be viewed against the background of the difficulties which econometric models in general have experienced in attempting to explain wage and price behaviour in more recent high-inflation years and, in the present case, of the unusual conditions which prevailed just prior to the introduction of the programme and which may not be adequately captured in the simulation.

38 In its first annual report the Anti-Inflation Board estimated that the components of the consumer price index over which it exercises effective control rose by about 8 per cent during the first compliance period—that is, by the target amount.

39 See: Annex I for greater detail.

An assessment of the impact of the programme probably comes down in the end to the question of the formation of expectations in a period with historically high inflation rates. If one were to assume that there had not been any substantial changes in the behaviour of economic agents as compared with the 1960s and early 1970s, the results of the econometric work done by the Secretariat and in Canada could be interpreted as suggesting that the programme has not had any significant impact on the deceleration of wage and price inflation. But, if one took the more plausible view that the inflation experience of the mid-1970s had affected expectations in a fundamental way and that these were coming down more slowly than indicated by historical relationships, then it would seem undeniable that the programme contributed to a reduction in inflationary expectations and thereby to a deceleration in the rate of inflation.

III SHORT-TERM PROSPECTS AND CONCLUSIONS

Short-term prospects

The preceding discussion of the likely stance of policies in 1977 suggests that little additional stimulus to activity will be forthcoming from either fiscal or monetary policies. And the external environment is likely to be less favourable than in 1976, with present Secretariat estimates showing a deceleration in the growth of Canada's export markets from 18½ to 9½ per cent in volume. Since in addition to these "exogenous" developments, the movement of the two main "endogenous" demand elements (private consumption and investment) is not expected to be particularly buoyant, overall output growth could well come down to only 3 per cent this year though some pick-up may occur in early 1978. This forecast inevitably implies a rise in unemployment to a rate of about 8 per cent for 1977 as a whole. Progress in the balance of payments field is likely to remain modest, while inflation (though decelerating on an underlying basis) will be unfavourably affected by food and other import price developments[40].

With regard to personal incomes, given a continued weak demand for labour and the restraining influence of the controls programme, it is expected that wage rates under new settlements will continue to moderate, with the impact of the earlier deceleration in settlements figures beginning to show increasingly in the development of average earnings. These could come down from 12½ per cent in 1976 to 8 to 9 per cent this year. With employment rising by somewhat more than 1 per cent, but farm incomes continuing to fall, total household income could increase by some 9½ per cent during 1977. The effect of direct taxes and other net transfers to government may well reduce the growth rate of disposable income by some ½ percentage point (against 1 per cent last year), implying that household real disposable incomes would increase by 2 per cent, a sharp reduction from the 5½ per cent achieved in the recent past. To the extent that households adjust their expenditure habits to longer-term expected income developments, the substantial gap between this year's forecast growth of real incomes and past developments would suggest that the savings ratio could be substantially reduced from its present high figure[41]. But the expected weak

40 It has been assumed that as indicated in the budget, the anti-inflation programme will remain in operation at least until the end of the second control period (October 1977) and that some further form of restraint will continue into 1978.

41 There could also be some lagged effect of the recent residential construction boom on the demand for household durables (sales of which were perhaps surprisingly weak last year).

Table 12 **Short-term prospects**

	Percentage volume changes					
	From previous year		From previous half-year (seasonally-adjusted annual rates)			
	1976	1977	1976 II	1977 I	1977 II	1978 I
Private consumption	6.1	3½	6.3	2½	2¾	4
Government consumption	0.9	3	−4.9	6¾	4	4
Gross fixed investment	0.8	−½	−7.1	2¾	½	4
Public	−5.6	0	−9.8	2¾	5¼	4
Private residential	17.6	−5	2.1	−5¼	−11	0
Private non-residential	−3.2	1¼	−9.9	6	4	5
Final domestic demand	4.0	2½	1.2	3¼	2½	4
plus change in stockbuilding[1]	1.6	−¾	−1.6	−¾	¼	0
Total domestic demand	5.5	2	−0.3	2½	2¾	4
Exports of goods and services	8.9	10	6.9	13¾	6	8
Imports of goods and services	8.2	4½	2.8	5½	3¼	7
plus change in foreign balance[1]	−0.3	1	0.7	1½	½	0
plus residual error of estimate[1]	0.6	0	−0.4	¼	0	0
GNP at market prices	4.9	3	0.0	4¼	3½	4¼
Memorandum items:						
Consumer prices[2]	7.4	7¼	5.9	7¾	7	6¾
Unemployment[3]	7.2	8	7.3	8	8¼	8¼
Current balance[4]	−4.3	−4	−3.8	−4¼	−3¾	−4¼

1 Percentage point contribution to GNP growth rate.
2 National accounts implicit consumption deflator.
3 Percent of labour force, seasonally-adjusted.
4 In U.S. billion dollars, seasonally-adjusted annual rates.
Sources: Statistics Canada, *National Income and Expenditure Accounts* and Secretariat forecasts.

employment situation could inject a somewhat cautious attitude, while the rise in food prices may dampen the growth of that item of expenditure. All in all, private consumption is not expected to grow by more than 3½ per cent, in line with the weakness of retail sales so far this year.

Intentions surveys indicate barely any increase in current outlays on residential construction, which would imply a substantial decline in volume terms. This would seem inevitable. Housing starts have followed a declining trend since early 1976 and there appears to be evidence of builders "stretching" construction periods in the light of the overhang of unsold houses. Furthermore, the value of permits issued fell in late 1976. The situation is also unlikely to be very buoyant in the non-residential investment area. The official survey of investment intentions, which (with the exception of 1976) has tended to be rather reliable in the past, shows that for 1977 total fixed capital expenditure is planned to be increased by only 8 per cent in nominal terms—probably implying no volume increase. And even this figure is strongly influenced by the continued buoyancy of energy-related investment undertaken by government enterprises[42]. Private non-energy business capital formation is thus likely to decline considerably for the second year running. Very low rates of capacity utilisation and sluggish demand prospects will probably more than offset the impact on investment of the incentives contained in the budget.

42 Although the Provinces appear to be cutting back their financing operations, the government business corporations responsible for a number of energy and resource developments have already arranged large borrowings abroad and should in the short run be relatively unaffected by fiscal restraint.

Assuming some acceleration in the growth of government consumption but subdued stock developments, now that inventories seem to have reached a normal level, total domestic demand would increase only very slowly in 1977 and in the first half of 1978. This overall weakness, which is particularly apparent among relatively import-intensive elements of demand should, together with the depreciation of the Canadian dollar, result in only a small increase in imports. Export growth can be expected to remain at about the same rate as last year. Though foreign market growth will slow down quite sharply, exports should be helped by the downward movement of the Canadian dollar[43]. United States demand for automobiles and housing construction is again expected to constitute an element of buoyancy. On the other hand, the volume of energy exports will continue to be curtailed, while the prospects for wheat appear rather uncertain in the light of bumper harvests in the main producer countries. Given continuing growth in the service deficit and an expected deterioration in the terms of trade, the relatively favourable volume developments in the trade balance may not be fully reflected in the current account, and the deficit for 1977 and the first half of 1978 is likely to continue running at an annual rate around US $4 billion.

The rate of GNP growth expected during the forecast period is clearly below the medium-term average and would imply that the degree of slack will increase further; indeed, there would seem to be scope for ensuring a good deal of the likely rise in output through increases in productivity which could rise at about the same rate as last year—that is, around 2-2½ per cent. Hence, the demand for labour, which will also be influenced, at least during part of the year, by the lagged effects of the marked slowdown in output experienced during the latter part of 1976, seems likely to remain very weak. Companies which have hoarded labour to date could, in the absence of an early improvement in sales prospects, begin to reduce their labour force. This could affect particularly the situation of adult males, who have recently begun to experience a marked increase in unemployment. Although this should mean that the participation rate is unlikely to increase, the average level of unemployment can be expected to rise in 1977 to some 8 per cent of the labour force[44].

Exogenous and special elements affect the outlook for prices. As noted earlier, the seasonally-adjusted rise in consumer prices accelerated to an 8½ per cent annual rate during the first five months of 1977, largely because of higher food prices and other elements outside the Anti-Inflation Board's control. With international prices for food and raw materials likely to continue to rise, and with effects of the weakening of the Canadian dollar coming through, it seems improbable that the programme's target for the second compliance period—a 6 per cent growth rate in consumer prices in the twelve months to October 1977—will be realised. Admittedly, the services element of the index began decelerating during the final quarter of last year in lagged response to the earlier favourable development of wage rates. Nevertheless, even allowing for a further deceleration in non-food prices during the remainder of the year, it would seem unlikely that the rise in the consumer price index between the fourth quarters of 1976 and this year can be held much below 8 per cent.

Conclusions

1976 was the first full year of operation of Canada's new and broadly conceived anti-inflation programme. This was introduced in late 1975 after a

43 Also by a certain catch-up early in the year from effects of strikes in late 1976.
44 The extra $100 million provided in the March 1977 budget for specific employment creation projects would probably create only 5 to 10 thousand man-years of employment.

period during which activity had been successfully sustained in the face of strong deflationary external impulses, but the rate of inflation had failed to decelerate. It was felt by the authorities at the time, very much in line with the strategy adopted by the OECD Ministerial Council in June 1976, that the fight against inflation was a prerequisite for a return to sustainable and rapid rates of expansion of both output and employment. It was also realised that progress in reducing inflation and inflationary expectations would by necessity be only gradual and would inevitably involve some costs.

Economic developments last year have, therefore, to be assessed in the light of these longer-term policy aims. Thus, the shift of economic policies into a much less stimulatory stance inevitably affected the growth of activity, which slowed down in the course of last year, and may have influenced the rise in the rate of unemployment to the present very high 8 per cent level. And partly because of the lagged effects of the earlier loss in price competitiveness and the increased deficit on invisible account, the current balance improved little despite a shift in relative cyclical positions which was favourable from the balance of payments point of view. The value of the Canadian dollar which had appreciated from mid-1975 has declined quite sharply since November 1976. But Canada achieved an improvement in its inflation performance last year. The fortuitous near stability of food prices was an important contributory factor to the slowdown of consumer prices, but the shift in policy stance and the operation of the Anti-Inflation Board must have been paramount in explaining the sharp deceleration in wage settlements.

Short-run prospects suggest that 1977 will be a further year of adjustment. On the inflation front, continuing underlying progress is likely, mainly because of the effects on earnings of last year's wage settlements, but this may be temporarily masked, particularly in the earlier part of 1977, by unfavourable exogenous developments in the food and energy field. Policy can be expected to continue the stance pursued this year thus adding little stimulus to the economy. Overall, the rise in GNP may remain moderate and may well be insufficient to reduce economic slack in 1977. But by the first half of next year an acceleration in growth is likely.

In these circumstances, maintenance of a relatively strict policy stance in these conditions seems necessary. Reflationary action at present would risk relaunching inflationary expectations; would probably be undesirable if it stimulated private or public consumption, two items of demand which have grown very rapidly in recent years, and could well be ineffective if aimed at encouraging flagging business investment. In addition to this general stance, continuation in some modified and less binding form of the price and incomes programme, also beyond the October 1977 date at which its status may be reviewed, would deserve consideration. The available evidence suggests that the operations of the Anti-Inflation Board have contributed to the deceleration, particularly of wages and possibly of prices, both directly and indirectly, inter alia, through effects on expectations. The impact may not have been spectacular, but even moderate results are welcome in this notoriously difficult area of economic policy. With unemployment around 8 per cent, further demand deflation is clearly not the answer to the inflation problem. Continued "management" of the income and price side would seem to represent the best hope of bringing inflation further down. It is perhaps unfortunate that, while the regulations provided for a reconsideration of the second year "basic protection factor" (i.e. cost of living indexation) had the first year's price target not been met, no corresponding downward reconsideration was envisaged where—as indeed was the case—the actual inflation rate was below target.

While, as indicated in the Survey, the present very high unemployment rate

is not directly comparable to earlier cyclical peaks, it is nonetheless a cause for serious concern. The Survey refers to the apparently tenacious problem of youth unemployment which, despite various programmes, remains extremely high, and the Secretariat's forecasts suggest that, in conditions of continuing slack, the unemployment rate of prime-age males (primarily household heads) could increase from now on. The question arises whether further specific measures could not be envisaged to alleviate the unemployment problem, including possibly a general review of the administrative arrangements at the federal and provincial level with a view to improving the efficiency of existing labour market programmes. Selective measures to encourage investment could also be contemplated in the one area where present prospects are relatively favourable and capacity shortages apparently widespread in the world as a whole—resource and resource—intensive industries. This is being done in the energy field and action could perhaps be extended to other primary or semi-finished producing sectors. In addition to the immediate effect on employment of higher investment activity, there may be a beneficial longer-run impact on the balance of payments.

Concern about the latter is widespread in Canada. While the unemployment and inflation problems would seem to be a good deal more acute there appears to have also been a longer-run deterioration in both the trade and invisibles account. Reasons for these trends are not easy to detect. One explanation could be found in the much more rapid rise in Canadian than in United States unit labour costs and this further underlines the necessity to bring Canada's rate of inflation under control. The need for an improvement in the foreign trade area is reinforced by the consideration that current deficits of the present and projected orders of magnitude could, over the longer run, be considered inappropriate because Canada's relatively high living standards may not warrant a continuing large use of foreign resources. This is not, however, an immediate problem. Large current deficits have not so far been viewed with disquiet given, on the one hand, the feeling that the development of Canada's natural resource endowment requires foreign savings and, on the other, the ease with which the country has been able to tap foreign capital markets.

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Annex I

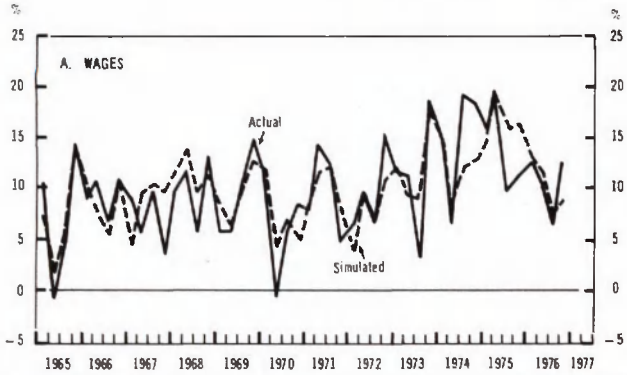
PRICE AND WAGE EQUATIONS

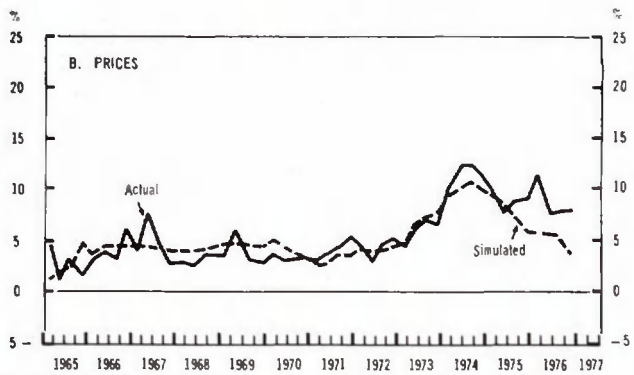
The econometric experiments referred to in the main text are based on a conventional model of inflation containing one price and one wage equation. On the price side, food, energy and government tax and regulated prices (accounting together for some 56 per cent of the consumer price index) are treated as exogenous components, while movements in the rest of the index are "explained" by an equation (the equations are specified in terms of first differences in natural logarithms) which uses as explanatory variables lagged and unlagged import prices and unit labour cost changes in the commercial sector excluding agriculture as well as deviations of GNP from trend. The average wage level (defined as wages and salaries including supplementary labour income per hour worked in the commercial sector excluding agriculture) is estimated on movements in lagged and unlagged consumer prices, labour productivity in the commercial sector less agriculture and demand pressures in the labour market (measured by the inverse of the squared unemployment rate).

The partial nature of the model (particularly on the price side) makes the interpretation of the coefficients difficult on an ex-ante basis as the coverage of both the import price and unit labour cost series does not correspond exactly to that of the dependent variables. The model specification presupposes that the relationship between the particular series used for import prices as well as unit labour costs and the variables which should ideally be used remains stable. In fact, changes in these relationships could at least partially explain why the model, which performs reasonably well when simulated over the estimation period (1965 Q1 to 1975 Q3), gives rather surprising predictions for the period covered by the Anti-Inflation Programme; the model predicts an increase in consumer prices from 1975 Q3 to 1976 Q4 of 6.8 per cent rather than the 8.3 per cent recorded, while average wages should, according to the model, have risen by 14.2 per cent instead of an actual increase of 13.1 per cent.

Annex Diagram 1 **Actual and simulated wage and price developments**

Percentage change from previous quarter, seasonally adjusted annual rate





NOTE Denoting wages and salaries per hour in the commercial sector less agriculture by W, consumer prices by P, output per man-hour by Y/N and the unemployment rate by U, the equation can be expressed as:

$$\Delta \ln W_t = \sum_{i=0}^{6} a_{t-i} \Delta \ln P_{t-i} + \underset{(.105)}{0.765} \Delta \ln (Y/N)_t + \underset{(.028)}{0.039} (1/U^2)_t$$

where $a_t = 0.308$ (.025); $a_{t-1} = 0.264$ (.021); $a_{t-2} = 0.220$ (.018); $a_{t-3} = 0.176$ (.014); $a_{t-4} = 0.132$ (.011); $a_{t-5} = 0.088$ (.007); $a_{t-6} = 0.044$ (.004); $R^2 = 0.630$; DW = 1.859

where t = time period.
i = lags in quarters.
R^2 = coefficient of determination.
DW = Durbin - Watson statistics.
numbers in brackets denote standard error of estimate.
Estimation period 1965: Q1 - 1975: Q3.

Source: Secretariat estimates.

NOTE Denoting consumer prices less food, energy, government taxes and regulated prices by PN, import prices by PM, GNP deviation from trend by GAP and unit labour cost in the commercial sector less agriculture by ULC, the equation can be expressed as:

$$\Delta \ln PN_t = 0.0029 + \underset{(.038)}{0.146} \sum_{i=0}^{2} GAP_{t-i} + \sum_{i=0}^{4} a_{t-i} \Delta \ln PM_{t-i} + \sum_{i=0}^{7} b_{t-i} \Delta \ln ULC_{t-i}$$

where $a_t = 0.046$ (.016); $a_{t-1} = 0.037$ (.013); $a_{t-2} = 0.028$ (.010); $a_{t-3} = 0.019$ (.007); $a_{t-4} = 0.009$ (.003); $b_t = 0.030$ (.007); $b_{t-1} = 0.053$ (.012); $b_{t-2} = 0.068$ (.016); $b_{t-3} = 0.076$ (.018); $b_{t-4} = 0.076$ (.018); $b_{t-5} = 0.068$ (.016); $b_{t-6} = 0.053$ (.012); $b_{t-7} = 0.030$ (.007); $R^2 = 0.748$; DW = 1.708

Annex II

CALENDAR OF MAIN ECONOMIC EVENTS

1976

January 1

Indexing factor of 11.3 per cent applied to federal personal income tax scales. Surtax imposed during 1976 on taxable incomes over $30 000.

Certain transfer payments increased:

(*a*) government pensions by 11.3 per cent for the year;
(*b*) old age security, pensioners' guaranteed income supplement and veterans' allowance by 2.8 per cent indexing factor for the quarter.

However, indexation of family and youth allowances suspended for 1976.

Contributions to social security increased:

(*i*) Canada and Quebec Pension Plan premiums by 11.9 per cent, based on a 12.5 per cent increase in level of pensionable earnings;
(*ii*) Unemployment insurance premiums by up to 27.4 per cent.

Authorised maximum export volumes of crude oil reduced from 750 to 510 thousand barrels per day.

January 14

Ontario first province to place its public sector under AIB rules.

January 27

Central Mortgage and Housing Corporation raises interest rate on loans to provinces and municipalities by ¼ percentage point to 10½ per cent.

January 28

Increases in maximum lending limits for mortgages guaranteed under the National Housing Act.

February 16

Constitutionality of AIB control over Ontario public sector challenged. Supreme Court subsequently confirms constitutionality of controls programme but rules that legislative approval rather than Order-in Council required for application to provincial public sector.

February 18

Main estimates provide for 16 per cent increase in federal government expenditure in fiscal 1976/77 (with budgetary expenditure rising by 19.3 per cent).

March 8

Bank Rate raised from 9 to 9½ per cent.

March 11

AIB control extended to 41 thousand companies employing ½ million persons in construction, trucking, grain handling, longshoring and shipping.

March 12

$650 million federal government bond issue floated, of which about one-half taken up by Bank of Canada.

April 6

Ontario budget presented. Taxes on liquid, beer and cigarettes raised and overall deficit cut by $660 million.

Sales tax rates raised in Nova Scotia and British Colombia.

May 25

Federal budget presented; main proposals include:

(*a*) Personal taxes unchanged, but exemptions for child care and retirement savings plans increased.
(*b*) Changes in taxes for the purpose of energy conservation and exploration:
  (*i*) faster write-offs for energy-efficient equipment;
  (*ii*) excise taxes on heavy cars and on automobile air conditioners.
(*c*) Temporary reductions in tariffs effective until 30th June, 1976 extended for further year.
(*d*) Changes proposed in unemployment insurance programme, involving principally increase in required number of weeks insured employment from 8 to 12 to qualify for benefits.

July 1

Well-head price of crude oil increased by $1.05 per barrel to $9.05 (further increase of $0.70 per barrel scheduled for 1st January 1977). Natural gas prices raised by 15½ cents to $1.40½ per m.c.f.

August 1

$700 million of federal government bonds issued (raising net $350 million) of which Bank of Canada agreed to purchase at least $400 million.

August 24

Money supply (M1) target growth rate range reduced by Bank of Canada from 15-10 per cent to 12-8 per cent (based on average seasonally-adjusted level for 3 months centred on March 1976).

September 7

New price and profit rules under anti-inflation programme issued; major changes applying to third compliance period (for most companies calendar 1977) are:

(*a*) All firms given limited choice of base period; either average of 5 fiscal years preceding October 14, 1975 or most recent fiscal year ended prior to May 1, 1976.
(*b*) Maximum pre-taxe profit rates as percentage of base period rates reduced:
  (*i*) from 95 to 85 per cent for non-distributors. However, investment credit of up to one-half of specified new investment allowable up to 10 per cent of permissible profit (thus raising maximum effective profit rate to 93.5 per cent of base period figure);
  (*ii*) from 100 to 95 per cent for distributors who, however, are not eligible for above-mentioned investment credit.
  Above profit limitations are, however, subject to minimum 8 per cent return being allowed on equity regardless of base-period experience.
(*c*) Individual product-line test abolished, but firms expected to price individual products in manner bearing reasonable relationship to production costs.
(*d*) Dividends for 12 months from October 14, 1976 limited to base-period amount plus 8 per cent.

October 1

$700 million of federal government bonds issued (raising net $305 million) of which Bank of Canada agreed to purchase at least $400 million.

October 12

Speech from Throne affirms that inflation and unemployment remain top priority problems; fiscal and monetary restraint by government including reduction of public service growth proposed.

October 21

Manpower Minister announces $350 million plan to create 150 thousand new jobs.

October 27

Mortgage interest rate under certain federal housing programmes reduced from 11.75 to 11.5 per cent.

November 1

1976/77 series of Canada Savings Bonds offering average annual return to maturity of 9.13 per cent put on market; sale subsequently discontinued on November 22 after gross $2.1 (net $1.7) billion raised.

Export tariff on partly-processed oil reduced from $3.80 to $3.75 per barrel.

November 10

Supplementary estimates raise total federal spending in fiscal 1976/77 to $42.2 billion (that is, up 16 per cent).

November 22

Bank Rate reduced from 9½ to 9 per cent.

November 23

Ontario announces "economic strategy" for 1977, including 9.6 per cent spending increase and abolition of 7 per cent sales tax on production machinery. Committee to study impact and effect of inflation accounting.

December 1

$700 million federal government bonds issued (raising net $300 million) of which Bank of Canada agreed to purchase at least $400 million.

December 10

Amendments proposed to Unemployment Insurance Act which would reduce numbers qualifying for benefits by 150 thousand and save $110 million a year.

December 14

First Ministers reach agreement on amendments to federal/provincial financial arrangements, including increased transfers of personal income tax revenue and unconditional grants to provinces, but reduction in transfers for shared-cost programmes. Premiers endorse controls programme.

December 22

Bank Rate reduced from 9 to 8½ per cent.

1977

January 1

Indexing factor of 8.5 per cent applied to federal personal income tax scales.

Well-head price of crude oil raised by $0.70 to $9.75 per barrel and of natural gas by 10 cents to $1.50½ per m.c.f.

February 1

Bank Rate reduced from 8½ to 8 per cent and chartered banks' required secondary reserve ratio reduced from 5½ to 5 per cent.

$850 million federal government bonds issued (raising net $843 million) of which Bank of Canada agreed to purchase at least $500 million.

February 20

Main estimates for fiscal year 1977/78 presented, providing for federal spending increase of 7 per cent (to $45.12 billion) compared with 13 per cent in 1976/77. Three main areas of decrease in expenditure growth rate were oil subsidy payments, unemployment insurance and health/welfare (the last-mentioned reflecting changes in federal/provincial fiscal arrangements).

March 31

Federal budget for fiscal 1977/78 presented in which control of inflation remains main policy objective. Budgetary revenues estimated to rise by 6.1 per cent and expenditures by 8.5 per cent, but when corrected for the effect of amendments to federal/provincial fiscal arrangements, both revenue and expenditure would rise by about 12 per cent. Income tax concessions estimated at $0.4 billion granted for households and at $0.7 billion for businesses. Overall financing requirement (excluding foreign exchange transactions) estimated at $6.4 billion compared with $5.4 billion in 1976/77.

April 1

$950 million federal government bonds issued (raising net $275 million) of which Bank of Canada agreed to purchase at least $550 million.

May 9

Bank Rate reduced from 8 to 7½ per cent.

STATISTICAL ANNEX

Table A **Gross National**
Annual figures and annual
C $

	Personal consumption expenditure	Government current expenditure on goods and services	Government fixed capital formation	Business fixed	
				Total	Residential construction
					Current
1968	43 704	12 684	2 983	12 771	3 253
1969	47 492	14 241	3 055	14 177	3 845
1970	50 327	16 630	3 173	14 842	3 500
1971	55 616	18 368	3 754	17 046	4 816
1972	62 208	20 291	3 968	19 083	5 820
1973	71 278	23 037	4 305	23 543	7 387
1974	83 441	27 797	5 462	28 798	8 776
1975	97 016	33 553	6 323	33 797	9 308
1976	110 543	38 641	6 482	37 827	12 258
1974: 1st quarter	78 820	25 708	4 884	28 200	9 216
2nd quarter	82 336	26 768	5 228	28 412	9 076
3rd quarter	85 452	28 672	5 764	28 992	8 656
4th quarter	87 156	30 040	5 972	29 588	8 156
1975: 1st quarter	91 168	31 228	6 088	30 852	8 000
2nd quarter	94 516	33 036	6 320	32 716	8 616
3rd quarter	99 292	35 204	6 332	35 056	9 788
4th quarter	103 088	34 744	6 552	36 474	10 828
1976: 1st quarter	104 960	36 552	6 512	37 120	11 480
2nd quarter	109 564	39 360	6 596	38 488	12 316
3rd quarter	112 084	38 456	6 388	37 236	12 508
4th quarter	115 564	40 196	6 432	38 464	12 728
					1971
1968	48 138	15 429	3 430	14 543	3 702
1969	50 353	15 993	3 350	15 484	4 175
1970	51 526	17 650	3 329	15 551	3 718
1971	55 616	18 368	3 754	17 046	4 816
1972	59 841	18 930	3 772	18 183	5 432
1973	63 879	19 795	3 751	20 633	5 966
1974	67 357	20 616	3 957	21 775	5 943
1975	70 784	21 571	4 131	22 613	5 547
1976	75 105	21 757	3 899	23 050	6 523
1974: 1st quarter	66 768	20 480	3 828	22 640	6 636
2nd quarter	67 412	20 644	3 812	21 848	6 240
3rd quarter	68 084	20 628	4 088	21 428	5 680
4th quarter	67 164	20 872	4 100	21 184	5 216
1975: 1st quarter	68 748	21 236	4 156	21 532	4 964
2nd quarter	69 872	21 792	4 232	22 248	5 220
3rd quarter	71 696	21 852	4 104	23 192	5 788
4th quarter	72 820	21 404	4 032	23 480	6 216
1976: 1st quarter	73 048	21 980	4 000	23 268	6 328
2nd quarter	74 880	22 080	4 000	23 628	6 652
3rd quarter	75 508	21 680	3 808	22 440	6 568
4th quarter	76 984	21 288	3 788	22 864	6 544

1 Including adjustment.

Source: National Accounts, Income and Expenditure (Statistics Canada).

Product and Expenditure
rates, seasonally adjusted
million

capital formation		Value of physical change in inventories	Exports of goods and services	Imports of goods and services	Residual error	Gross national product at market prices
Non-residential construction	Machinery and equipment					
prices						
4 553	4 965	745	16 719	17 010	−10	72 586
4 772	5 560	1 467	18 761	19 821	443	79 815
5 385	5 957	105	21 167	20 214	−345	85 685
5 952	6 278	392	22 181	22 016	−891	94 450
6 205	7 058	544	24 580	25 250	−190	105 234
7 327	8 829	1 588	30 718	30 954	45	123 560
9 178	10 844	3 052	38 930	41 006	701	147 175
11 691	12 798	−247	40 364	45 533	172	165 445
11 977	13 592	2 112	45 385	50 094	−869	190 027
8 650	10 328	2 208	36 404	36 764	196	139 656
8 844	10 492	3 448	37 716	39 180	592	145 320
9 332	11 004	2 692	40 576	43 200	1 216	150 164
9 880	11 552	3 860	41 024	44 880	800	153 560
10 568	12 284	3 040	39 084	44 700	568	157 328
11 336	12 764	56	40 064	45 040	72	161 740
11 996	13 272	−1 932	40 256	45 820	344	168 732
12 864	12 872	−2 152	42 052	46 572	−296	173 980
12 408	13 232	4 012	43 212	48 920	−704	182 744
12 524	13 648	1 772	45 284	50 276	−616	190 172
11 528	13 200	1 672	46 908	50 200	−952	191 592
11 448	14 288	992	46 136	50 980	−1 204	195 600
prices						
5 360	5 481	771	17 727	18 284	110[1]	81 864
5 327	5 982	1 518	19 462	20 727	792[1]	86 225
5 715	6 118	84	21 223	20 588	−385[1]	88 390
5 952	6 278	392	22 181	22 016	−891	94 450
5 869	6 882	515	23 655	24 489	−159	100 248
6 411	8 256	1 346	26 156	27 824	76	107 812
6 898	8 934	2 281	25 570	30 453	570	111 766
7 828	9 238	−307	23 930	29 707	159	112 955
7 328	9 199	656	26 060	32 132	−512	118 484
6 952	9 052	2 124	26 020	29 868	200	112 192
6 732	8 876	2 516	25 076	29 944	500	111 864
6 860	8 888	1 600	25 800	30 980	956	111 604
7 048	8 920	3 096	25 384	31 020	624	111 404
7 404	9 164	884	23 900	29 700	444	111 200
7 748	9 280	−572	24 032	29 348	84	112 340
7 924	9 480	−1 224	23 480	29 424	268	113 944
8 236	9 028	−1 192	24 308	30 356	−160	114 336
7 820	9 120	2 568	25 080	31 548	−432	117 964
7 668	9 308	868	26 176	32 276	−356	119 000
6 992	8 880	1 076	26 704	32 048	−560	118 608
6 832	9 480	516	26 280	32 656	−700	118 364

Table B **Industrial Production,** Seasonally

	1971	1972	1973	1974
1 *Indices of industrial production (1970 = 100):*				
Total	105.7	113.1	122.5	126.9
Durable manufactures	107.1	115.1	126.8	130.9
Non-durable manufactures	104.7	110.9	117.5	122.8
2 *New residential construction (thousands, annual rates):*				
Starts	233.7	249.9	268.5	222.1
Completions	201.2	232.2	246.6	257.2
Under construction[1]	177.3	188.6	207.2	168.4
3 *Employment and unemployment:*				
Civilian labour force (thousands, monthly averages)	8 644	8 920	9 322	9 706
Non-agricultural employment (thousands, monthly averages)	7 592	7 878	8 331	8 709
Employment indices (1961 = 100):				
Mining	114.8	110.4	111.3	115.5
Manufacturing	121.6	123.7	129.9	133.8
Durables	131.4	134.9	144.1	149.4
Non-durables	113.7	114.7	118.3	121.1
Public utilities	112.4	116.0	118.1	124.6
Unemployment (thousands)	538	557	520	520
Unemployment (percentage of civilian labour force)	6.4	6.3	5.7	5.5
Average weekly hours worked in manufacturing	39.7	40.0	39.6	38.9
4 *Retail sales ($ million, monthly averages)*	2 554	2 842	3 195	3 714
5 *Orders and inventories in manufacturing ($ million):*				
New orders (monthly averages)	4 215	4 736	5 793	7 097
Unfilled orders (end of period[2])	4 736	5 421	7 935	10 406
Total inventories (end of period)	8 421	9 090	11 022	14 962

1 Not seasonally adjusted, end of period.
2 3-month averages for quarters.
Sources: OECD, Main Economic Indicators; Canadian Statistical Review and Bank of Canada Review.

Employment and other Business Indicators
adjusted

1975	1976	1975 I	1975 II	1975 III	1975 IV	1976 I	1976 II	1976 III	1976 IV	1977 I
121.0	126.6	121.3	120.6	120.1	121.6	125.2	127.3	127.0	127.2	129.7
123.9	129.7	122.4	123.3	123.3	126.4	129.2	131.1	130.3	128.2	130.9
117.3	123.0	118.8	118.0	115.9	116.3	121.1	124.2	123.8	123.1	125.1
231.5	273.2	162.9	200.7	246.8	289.0	291.8	275.2	261.4	274.8	237.2
217.0	236.2	221.3	207.5	200.9	236.2	197.3	256.6	239.0	244.5	
176.6	204.3	145.5	152.6	169.4	176.6	175.0	191.9	204.8	204.3	
10 060	10 308	9 911	10 031	10 109	10 185	10 273	10 271	10 363	10 340	10 475
8 878	9 098	8 774	8 855	8 912	8 961	9 102	9 098	9 130	9 065	9 205
114.1	118.3	115.5	113.9	111.5	115.8	117.4	116.3	119.4	120.3	
126.3	128.1	127.8	127.0	125.2	125.4	128.5	128.6	128.3	127.0	
139.8	140.3	140.9	139.9	138.4	139.7	142.1	141.1	139.3	138.9	
115.5	118.2	117.3	116.5	114.3	113.8	117.5	118.7	119.1	117.4	
125.7	128.9	127.6	128.0	127.5	119.9	127.2	128.7	129.7	130.1	
697	736	664	698	715	721	705	730	752	764	822
6.9	7.1	6.7	7.0	7.1	7.1	6.9	7.1	7.2	7.4	7.8
38.6	38.7	38.4	38.5	38.6	38.8	38.7	38.6	38.6	39.0	38.6
4 267	4 762	4 019	4 114	4 343	4 549	4 547	4 714	4 781	4 883	5 007
7 241	8 099	6 919	7 080	7 422	7 591	7 725	8 179	8 156	8 204	8 937
10 215	9 337	10 878	10 570	10 295	10 309	9 924	9 827	9 556	9 357	
15 751	16 749	15 325	15 503	15 362	15 751	16 063	16 100	16 398	16 766	17 205

Table C **Prices,**

	1971	1972	1973	1974
1 *Prices (1970 = 100):*				
Consumer prices, all items	102.9	107.8	116.0	128.6
of which: Food	101.3	109.0	124.8	145.1
Non-food	103.5	107.3	112.7	122.6
Wholesale prices, all items	101.2	108.3	131.6	161.1
of which: Manufactured goods	103.7	111.2	128.1	153.3
Farm products	99.0	112.6	166.1	194.5
2 *Wages and profits (seasonally adjusted):*				
Hourly earnings in manufacturing (1970 = 100)	109	118	128	145
Corporate profits before tax ($ million, annual rates)	8 681	10 799	15 032	18 800
3 *Banking ($ million, end of period):*				
Chartered banks:				
Canadian dollar deposits	35 611	40 728	48 565	58 797
of which: Personal savings deposits	17 783	19 949	24 604	29 789
Liquid assets	10 317	10 642	10 975	12 529
Holdings of Govt. of Canada direct and guaranteed securities	4 608	4 148	3 816	4 364
Total loans	20 500	25 148	31 878	37 752
Currency outside banks	3 889	4 438	5 140	5 791
4 *Interest rates (per cent, end of period):*				
3-month Treasury bill yield	3.21	3.65	6.35	7.12
Yield of long-term Govt. bonds	6.56	7.12	7.70	8.77
5 *Miscellaneous:*				
National Housing Act Mortgage Loans ($ million)	3 175	3 511	4 118	3 455
Industrial share prices (1970 = 100)	103	120	136	113
Security issues, net ($ million)	7 965	7 517	5 913	13 925
of which: Govt. provincial and municipal	5 452	5 010	2 865	8 540
Corporate bonds	1 835	1 616	1 555	1 794
Corporation stocks	341	619	612	738

Sources: OECD, Main Economic Indicators; Canadian Statistical Review and Bank of Canada Review.

Wages and Finance

1975	1976	1975				1976				1977
		I	II	III	IV	I	II	III	IV	I
142.5	153.2	137.1	140.1	144.9	147.9	149.8	152.1	154.3	156.6	159.9
163.9	168.2	156.6	160.3	168.8	169.6	168.1	168.3	168.8	167.7	172.8
135.0	147.7	130.3	133.0	136.5	140.1	143.2	146.1	149.0	152.3	155.1
171.6	179.0	168.4	168.9	173.7	175.6	176.5	179.1	179.7	180.8	189.7
168.9	178.3	165.0	167.3	170.4	172.8	174.4	177.0	180.0	182.0	187.9
190.4	182.0	184.6	188.8	198.0	190.8	189.3	191.1	179.5	168.1	
168	191	161	166	170	175	183	190	194	198	205
18 587	18 587	17 812	17 780	19 232	19 524	18 988	19 036	18 724	17 600	
66 873	76 773	60 209	62 257	63 162	66 873	68 583	72 113	73 537	76 773	80 058
33 237	40 478	31 366	32 559	33 889	33 237	35 413	37 471	39 328	40 478	42 400
12 526	13 831	12 490	12 304	12 220	12 526	12 843	13 724	13 960	13 831	14 359
4 278	4 424	4 436	4 298	4 272	4 278	4 347	4 321	4 402	4 424	4 535
43 761	52 354	39 194	40 219	41 962	43 761	46 920	48 008	50 202	52 354	55 067
6 748	7 241	5 687	6 018	6 308	6 748	6 427	6 807	6 943	7 241	6 963
8.64	8.14	6.33	6.90	8.41	8.64	9.07	8.98	9.11	8.14	7.54
9.49	8.47	8.47	8.88	9.72	9.49	9.39	9.35	9.16	8.47	8.83
5 781	6 264	545	1 799	1 614	1 813	1 074	1 765	1 665	1 767	
105	110	102	109	110	101	113	116	111	100	102
16 503	20 307	3 192	3 829	2 422	7 059	5 265	4 999	3 922	6 121	4 831
11 886	13 498	1 237	2 275	2 133	6 237	3 723	2 678	2 549	4 548	2 836
2 963	4 402	885	992	506	582	1 285	1 101	1 046	970	1 353
1 214	1 182	166	454	175	419	247	270	355	310	107

Table D Balance of Payments, 1967-1976
OECD Basis
US $ million

	1967	1968	1969	1970	1971	1972	1973	1974	1975	1976
Current account:										
Exports	11 030	13 232	14 504	16 864	18 510	21 203	26 395	34 344	33 759	39 664
Imports	10 384	11 752	13 475	13 711	15 834	19 346	23 429	32 405	34 240	38 318
Trade balance	646	1 480	1 029	3 153	2 676	1 857	2 966	1 939	−481	1 346
Services, net	−973	−1 529	−1 796	−1 963	−2 372	−2 516	−2 963	−3 601	−4 343	−5 774
Balance on goods and services	−327	−49	−767	1 190	304	−659	3	−1 662	−4 824	−4 428
Private transfers, net	33	100	49	82	196	232	270	475	446	499
Official transfers, net	−169	−124	−132	−193	−200	−230	−255	−340	−504	−462
Current account balance	−463	−73	−850	1 079	300	−657	18	−1 527	−4 882	−4 391
Capital account:										
Long-term capital	1 256	1 551	2 166	707	476	1 780	373	882	4 036	7 660
(*a*) Private	467	553	1 260	693	575	961	220	154	961	2 637
(*b*) Official	789	998	906	14	−99	819	153	728	3 075	5 023
Basic balance	793	1 478	1 316	1 786	776	1 123	391	−645	−846	3 269
Short-term non-monetary capital and unrecorded	−453	−1 003	−767	−92	−1 379	−1 682	−616	1 515	−514	−2 533
Balance on non-monetary transactions	340	475	549	1 694	−603	−559	−225	870	−1 360	736
Private monetary institutions short-term capital	−312	−305	−495	−86	1 380	727	−265	−883	850	−1 035
Assets	−554	−751	−2 103	−1 370	509	−1 241	−3 808	−1 596	109	−3 721
Liabilities	242	446	1 608	1 284	871	1 968	3 543	713	741	2 686
Balance on official settlements	28	170	54	1 608	777	168	−490	−13	−510	−299
Use of IMF credit	—	—	—	—	—	—	—	—	—	—
Special transactions	—	−35	—	—	—	—	—	—	—	—
Miscellaneous official accounts	−15	193	6	−159	−4	54	208	10	108	828
Allocation of SDR's	—	—	—	124	118	126	—	—	—	—
Change in reserves (+ = increase)	13	328	60	1 573	891	348	−282	−3	−402	529
(*a*) Gold	−31	−152	9	−81	1	−28	93	—	—	−13
(*b*) Currency assets	60	709	−221	1 280	1 038	293	−428	−158	−558	237
(*c*) Reserve position in the IMF	−16	−227	272	192	−338	−18	−5	153	150	298
(*d*) Special Drawings Rights	—	—	—	182	190	101	59	2	6	7

NOTE Detail may not add due to rounding.
Sources: The Canadian Balance of International Payments, Canadian submission to the OECD and Secretariat adjustments.

INTERNATIONAL COMPARISONS

	Reference period	Units	Australia	Austria	Belgium	Canada	Denmark	Finland	France	Germany	Greece	Iceland	Ireland	Italy	Japan	Luxembourg	Netherlands	New Zealand	Norway	Portugal	Spain	Sweden	Switzerland	Turkey	United Kingdom	United States	Yugoslavia[1]
POPULATION																											
Inhabitants per sq. km	Mid-1975	Thousands	13 507	7 533	9 801	22 831	5 060	4 707	52 743	61 832	9 046	218	3 127	55 812[2]	110 950	359	13 654	3 104	4 007	9 448	35 219	8 196	6 403	40 063	56 042	213 631	21 352
Net average annual increase	»	Number	2	90	321	2	117	14	96	249	69	2	44	185	298	138	404	12	12	106	70	18	155	51	230	23	83
	Mid-1965 to Mid-1975	%	1.8	0.4	0.4	1.5	0.6	0.3	0.8	0.5	0.6	1.3	0.8	0.7	1.2	0.8	1.1	1.7	0.7	0.5	0.9	0.6	0.7	2.5	0.3	1.0	(0.9)
EMPLOYMENT																											
Total civilian	1974	Thousands	5 736	3 010	3 801	9 137	2 355	2 220	21 096	25 689	(3 170)	93	1 047	18 715	52 010	151	4 579	1 180	1 659	3 081	12 860	3 962	2 943	14 868	24 767	85 936	8 023[3]
of which: Agriculture, forestry, fishing	»	% of total	6.9	13.0	3.7	6.3	9.6	16.3	11.6	7.3	(36.2)	16.9	24.3	16.6	12.9	6.4	6.6	12.0	10.5	28.2	23.1	6.7	7.6	64.1	2.8	4.1	47.6
Industry[4]	»	»	35.1	41.0	41.2	31.1	32.3	36.1	39.2	47.6	(27.8)	37.2	31.1	44.1	37.0	49.2	35.5	34.7	34.2	33.6	37.2	37.0	47.0	14.8	42.3	(31.0)	21.9
Other	»	»	58.0	46.0	55.1	62.6	58.1	47.6	49.2	45.1	(36.0)	45.9	44.6	39.3	50.1	44.4	57.9	53.3	55.3	38.2	39.7	56.3	45.4	21.1	54.9	(64.9)	30.5
GROSS DOMESTIC PRODUCT at market prices	1974	US $ billion	78.39	33.00	53.42	145.30	30.40	22.03	266.10	384.53	19.17	1.39	6.73	149.81	455.30	2.13	69.18	13.36	23.30	13.32	85.50	56.10	47.29	29.43	188.99	1 411.33	27.81
Average annual volume growth[5]	1969 to 1974	%	4.2	5.9	5.3	4.8	2.9	5.6	5.3	3.6	5.4	6.2	3.3	3.9	7.1	4.1	4.5	3.8	4.2	6.4	6.4	3.2	3.6	6.8	2.7	2.7	6.6
Per capita	1974	US $	5 877	4 372	5 466	6 464	6 026	4 712	5 061	6 195	2 139	6 465	2 180	2 706	4 152	5 987	5 109	4 388	5 847	1 517	2 446	6 878	7 340	748	3 371	6 660	1 315
GROSS FIXED CAPITAL FORMATION	1974	% of GDP	24.0[6]	28.0	22.3	23.2	21.9	29.0	25.1	22.5	21.7[7]	32.5	24.9	23.4	34.3	25.5	22.2	26.3[8]	32.1	19.3	25.0	22.0	26.1	20.7	20.1	17.5	24.8
of which: Machinery and equipment	»	»	9.9[6]	11.2	8.2	8.2	9.1	10.7	12.1	9.8	8.7	9.6	10.5	10.5	12.5	8.6	9.4	..	12.0	7.7	9.2	9.2	9.3	6.4	8.8	6.8	9.6
Residential construction	»	»	4.6[6]	16.8[9]	6.2	5.4	5.5	7.6	7.3	5.3	4.4	7.3	6.3	7.1	8.0	6.3	5.7	..	5.3	4.0	6.8	4.5	..	4.8	3.9	3.9	6.6
Average annual volume growth[5]	1969 to 1974	%	1.5[6]	8.1	4.9	6.0	2.0	6.4	5.7	2·0	0.7	15.3	3.7	2.4	6.9	5.9	2.1	..	8.9[10]	10.3	7.7[10]	2.3	3.4	8.3	1.2	1.6	7.6
NATIONAL SAVINGS RATIO[11]	1974	% of GNP	25.5	30.8	26.2	24.0	20.0	33.0	25.5	26.6	18.0	23.5	12.8	18.9	37.3	34.5	27.3	22.2	30.4	13.5[12]	22.5	23.3	32.0	19.0	17.0	17.7	..
GENERAL GOVERNMENT																											
Current expenditure on goods and services	1974	% of GDP	15.4[6]	15.3	15.1	19.2	23.2	17.1	13.0	19.7	13.6	10.4	17.6	14.0	9.9	12.1	17.2	16.7[8]	16.5	14.5	9.5	23.6	12.0	14.1	20.5	18.8	15.7
Current transfer payments	»	»	9.1[6]	14.7	17.8	11.7	15.8	12.6	20.8	16.6	9.8	14.7	17.6	19.6	5.7	19.9	26.6	..	22.4	7.6	12.0	18.7	13.9	..	14.8	9.9	..
Current revenue	»	»	28.9[6]	38.4	37.9	38.6	47.4	38.7	38.9	41.4	24.2	..	35.1[12]	32.6	24.7	44.3	51.4	..	48.5	23.0	23.1	49.4	35.8	27.5[13]	40.0	30.2[12]	31.5
NET OFFICIAL DEVELOPMENT ASSISTANCE	1974	% of GNP	0.6	0.2	0.5	0.5	0.6	0.2	0.6	0.4	..	..	..	0.2	0.3	..	0.6	0.3	0.6	..	..	0.7	0.1	..	0.4	0.3	..
INDICATORS OF LIVING STANDARDS																											
Private consumption per capita	1974	US $	3 429	2 357	3 256	3 590	3 382	2 317	3 119	3 312	1 517	4 079	1 542	1 782	2 185	3 199	2 860	2 633	3 056	1 089	1 444	3 647	4 299	568	2 142	4 148	679
Passenger cars, per 1 000 inhabitants	1973	Number	340	204	245	353	249	191	268[13]	267	39	239[13]	157	243	133	339	239	350	230	90	109	307	260	6	244	478	54
Telephones, per 1 000 inhabitants	»	»	355	246	257	528	400	329	217	287	187	381	120	229	357	382	320	475	329	109	181	594	560	21	340	657	48
Television sets, per 1 000 inhabitants	»	»	227[13]	237	244	348	304	263	237[13]	298	58[13]	220[13]	176	208	229	227[14]	258	304	249	66	164	339	253	7	309	523	121
Doctors, per 1 000 inhabitants	1972	»	1.3[14]	1.9	1.6	1.6	1.6	1.2	1.4	1.8	1.7	1.4[14]	1.2	1.9	1.2	1.1	1.4	1.2	1.5	1.0	1.4	1.5	1.7	0.5	1.3	1.7	1.1
Access to higher education[13a]	1973	% of relevant age group	30.5	15.7	(28.5)[15]	49.8[13]	35.0	(23.3)	26.4	15.8[15]	..	..	..	27.9	23.8[15]	..	20.5[14]	..	39.2	(9.8)	27.1[13]	(31.1)[13]	..	..	21.5[13]	43.9	16.1[14]
Infant mortality[16]	1974	Number	16.1	23.5	16.2	16.8[12]	12.0[13]	10.2	12.0	21.1	23.9	9.6[12]	17.8[12]	22.6	10.8	13.5[13]	11.2	15.5	10.4	44.8[12]	13.6	9.6	12.8[12]	153.0[17]	16.7	17.6[12]	45.0
WAGES AND PRICES																											
Hourly earnings in industry[18]	Average annual increase	%	15.9	13.3	15.8	10.9	17.4	17.8	14.0	9.9	16.8	34.0[19]	19.7	17.5	18.6	..	13.8[10]	13.7	13.7	16.3	20.4	11.3	9.5	18.2	15.9	7.4	..
Consumer prices	1970 to 1975	%	10.2	7.3	8.4	7.3	9.3	11.7	8.8	6.1	12.4	24.7	13.3	11.3	11.5	7.2	8.6	10.2	8.2	15.1	12.1	8.0	7.7	..	13.0	6.3	20.4
FOREIGN TRADE																											
Exports of goods, fob	1975	US $ million	11 902	7 519	28 809[20]	32 301	8 710	5 503	52 211	90 021	2 293	308	3 211	34 830	55 753	—	34 440	2 148	7 196	1 935	7 683	17 406	12 957	1 401	43 756	107 652	4 072
as percentage of GDP	»	%	14.1	20.0	44.7[20]	20.8	24.5	20.7	16.0	21.3	10.9	25.7	41.2	20.2	11.4	—	42.4	16.9	25.4	13.2	7.6	25.2	24.1	4.0	19.2	7.2	12.3
average annual volume increase	1970 to 1975	%	3.9	7.7	5.9[20]	2.8	4.4	–0.4	7.6	6.0	14.6	..	7.1	6.2	9.9	—	7.0	–1.3	5.5	..	9.2	3.2	3.0	–0.4	5.4	7.3	4.8
Imports of goods, cif	1975	US $ million	9 988	9 393	30 707[20]	33 955	10 329	7 618	54 241	74 208	5 317	487	3 807	38 364	57 863	—	35 145	2 912	9 675	3 827	16 261	18 049	13 303	4 641	53 252	96 940	7 697
as percentage of GDP	»	%	11.9	25.0	47.7[20]	21.8	29.1	28.6	16.6	17.5	25.3	40.6	48.8	22.3	11.8	—	43.3	22.9	34.2	26.1	16.1	26.1	24.7	13.1	23.4	6.4	23.3
average annual volume increase	1970 to 1975	%	2.8	6.8	5.9[20]	7.7	1.2	4.6	5.7	5.5	6.7	..	2.7	0.8	4.1	—	3.9	9.1	4.4	..	7.7	3.4	–0.4	15.6	4.4	2.3	6.0
TOTAL OFFICIAL RESERVES	End-1975	US $ million	3 256	4 439	5 797[20]	5 326	877	470	12 593	31 034	931	47	1 532	4 774	12 815	—	7 109	428	2 237	1 534	6 090	3 077	10 428	1 064	5 459	15 883	871
as percentage of imports of goods	In 1975	%	32.6	47.3	18.9[20]	15.7	8.5	6.2	23.2	41.8	17.5	9.7	40.2	12.4	22.1	—	20.2	14.7	23.1	40.1	37.5	17.0	78.4	22.9	10.3	16.4	11.3

1 Partly from national sources.
2 Total resident population.
3 Private and socialised sector.
4 According to the definition used in OECD: Labour Force Statistics: mining, manufacturing, construction and utilities (electricity, gas and water).
5 At constant (1970) prices.
6 Fiscal year beginning July 1st.
7 Excluding ships operating overseas.
8 Fiscal year beginning April 1st.
9 Total construction.
10 1970 to 1974.
11 $\frac{\text{GNP} - (\text{Priv. cons.} + \text{Pub. cons.})}{\text{GNP}} \times 100.$
12 1973.
13 1972.
14 1971.
15 1970.
13a Figures are not strictly comparable due to differences in coverage. For more details see "Educational Statistics Yearbook - Volumes 1 and 2, 1974 and 1975 - OECD, Paris."
16 Deaths in first year per 1 000 live births.
17 1967.
18 Figures are not strictly comparable due to differences in coverage.
19 1971 to 1975.
20 Including Luxembourg.

Note Figures within brackets are estimates by the OECD Secretariat.

Sources: Common to all subjects and countries: OECD: Labour Force Statistics, Main Economic Indicators, National Accounts, Observer, Statistics of Foreign Trade (Series A); Office Statistique des Communautés Européennes, Statistiques de base de la Communauté; IMF, International Financial Statistics; UN, Statistical Yearbook.

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